

BEML Ltd. (BEML)

Conference call transcripts, oldest-first. 6 call(s). Generated 2026-08-02.

Call: Dec 2023

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"BEML Limited
Conference Call"
December 05, 2023

MANAGEMENT: SHRI SHANTANU ROY, CHAIRMAN & MANAGING DIRECTOR, DIRECTOR (MINING & CONSTRUCTION) – BEML LIMITED
SHRI AJIT KUMAR SRIVASTAV, DIRECTOR (DEFENCE) – BEML LIMITED
SHRI ANIL JERATH, DIRECTOR (FINANCE) – BEML LIMITED
SHRI K SASI KUMAR, (CGM FINANCE) – BEML LIMITED

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K Sasi Kumar: Welcome everyone. Most of the people here will be knowing about BEML. We were incorporated on 11th May 1964. We are a Mini Ratna 'Category 1' company under the Ministry of Defence, Government of India. We work for core sectors of economy which are defence and aerospace, coal, mining, steel, cement, power, irrigation, construction, infrastructure, railways, and metro transportation system.

Last year our business combination was like this, M&C contributed 50% of our sales, rail & metro contributed 27% and defense & aerospace 23%. This is how the major products were introduced over the years by BEML from 1964 till now. In, 1964 we started with rail coach manufacturing division at Bangalore. We called that as Bangalore complex. It was basically a spin-off from HAL, then we have moved on at Kolar Gold Field, which is around 90 kms from Bangalore.

In 1986, we ventured into high mobility vehicles for the Indian army and BMP transmission system in 1987. In 2000, we manufactured armoured recovery vehicles and in 2003 we ventured into metro cars. It started with RS1 rolling stock for DMRC. And now we are supplying for RS15 project. Most of the metro orders of DMRC have been bagged by BEML subsequently. In 2014, we have ventured into missile aggregates and in 2019 one of India's biggest mining equipment manufactured by an Indian company was built by BEML that is 1800 Ton class electric excavator. And in 2020, some of the AI features were introduced in our equipment and 2021, driverless metro cars, which is running in Mumbai, for lines 2 and 7 were delivered, which is a driverless metro car and in 2022 we tied up with IIT Kanpur for UAV and in 2023 we have supplied rail-grinding machines to LORAM of USA end user is Indian Railways. 10 rakes of RGM order we got, 6 we have completed and balance are under progress.

This is how our network is, we have four manufacturing complexes, one in KGF, another in Mysore, one in Bengaluru and in Palakkad. We have 12 regional offices, spread across the nation, 15 district offices, 2 defence spares division, and 7 activities centres.

This is some of the major products of BEML starting from high mobility vehicles and the last, one being ARVs.

These are major accomplishments of BEML, you can see, in defence business segment, 8,850 high mobility vehicles we have supplied till date, 350 ARVs, then 3,200 military wagons and pontoon bridge system 6 sets we have supplied, and in M&C, we have supplied till now, 33,100 M&C equipment. From our engine manufacturing division totally, we have supplied 28,100 engines. In Rail & Metro segment, till now, we have supplied 18,000 rail coaches which includes 970 EMU trains, 1,850 Metro cars. We have supplied to Kolkata Metro, Jaipur Metro, Mumbai Metro, and Bangalore Metro. And as far as export is concerned, we have exported till now to 71 countries. The last one added in the current year is Somaliland.

This is our global presence, we are in almost all continents, export figures are given down, it was INR 62 crores in 2019-20, last year we have exported INR 830 crores, this includes Deemed Exports which we are supplying to Mumbai Metro and in half year of current year INR 347 crores we have exported.

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Our shareholding pattern, most of you may be aware.

These are the key business highlights, we have compared with September 22 as well as previous three years. You see market cap, last September we were at INR 6,184 crores, now we are at INR 9,653 crores. Manpower, we are at 4,977 we were at 6,023 numbers in 2020-21. Reduction in manpower is mostly because of superannuation.

In the gross margin, current half year is positive i.e., 1.35%, which was in minus 0.8% in Sep 22.

Sales through competition mode is around 65% to 70%. Last one you can see, the green energy for captive consu

mption, 95% of our energy requirement is met from the energy produced from our windmills installed in Karnataka at different places. These are the sale from sale of products, on half year basis, we are at 1% more than H1 of last year.

In current half, 43% came from M&C, 16% from defense, and 41% from R&M. In the value of production, we are at INR 1,429 crores. Order book we are at INR 12,743 crore.

Collections is down by 16% in September 2023, compared to September 2022. These are other parameters, inventory, employee costs and Interest costs. Finance costs, we are at INR 21 crores which was INR 22 Crs in the same period of last year.

Thank You.

Shri Anil Jerath: Thank you, we are really happy for your presence and we thank you for investing in BEML. And I think we are also not letting you down. I think we can proceed for some questions.

Moderator: Can you speak on the mic if anybody wants to ask a question?

Rohan Vora: Hi, so this is Rohan Vora from Envision. Thank you for taking out the time today. So my question is around, so you mentioned that order book around INR 12,470 crores as on date. And you expect to end the year at INR 17,000 crores. Your addition being from R&M and some of it from your mining business. So for defence, as I see today the order book is around INR 5,000 crores.

And I just wanted to know what are these products, briefly what are the top two or three products, how much is the capacity that you have? And will that be sufficient for this INR 5,000 crores order book that stands today in defence? So that is my first question.

Shri Ajit Kumar Srivastav: Yes, thank you very much. See now, our company is in very growing sectors. We have three verticals Mining & construction, rail & metro and defence & aerospace. That's where everything is growing now. All three verticals are fine. Because the Government of India has put in tremendous thrust on these sectors. And again, I consider if you look at vertical wise, we got regular annual order in defence and aerospace and in mining and construction and Rail and Metro.

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So basically, we are in to six different streams. Now, if you talk about defence and aerospace business, if you look at last three years, we did about INR300 crores to INR850 crores. We are working to have a growth of 30% to 40%.

Aerospace & defence order book stands at about INR 5,000 crores. How we have divided the defence segment and focusing on it, I will give a brief. The first segment is HMVs that is High Mobility Vehicles, which we are supplying to Indian Army for number of years, back from 1986. Over 9,000 equipment are working. All the major platforms of Indian Army, be it the missile system, be it building system, be it command system, be it radar, everything moves on our Vehicle. Also, be it Akash, Pinaka, Prithvi or Brahmos.

And you know, the government investment is heavy in defence sector. So, order booking is huge now. And this kind of order booking is expected to continue because lot of regiments are getting created. So, there is lot of HMVs in demand.

Second segment, which we are focusing is the Armoured Recovery Vehicles. ARVs, we have supplied about 350 ARVs. We have supplied 'Arjun' Armoured Recovery Vehicles. So, there are lot of opportunities out there. Arjun Armoured Recovery Vehicles again. As Government of India is introducing two regiments, there is a requirement of recovery vehicles. So, it is again another sector which we are looking to expand.

The third focus area in defence is the aggregates. This time, there is going to be service, features and transmissions, in BMP transmission, a lot of things are happening. So, that is the third area we are focusing.

Fourth area, which is very important in developing is the overhauling and AMCs. Now, we have 9,000 equipment, 4,000 equipment are being overhauled. 350 ARVs are being overhauled. We

have 12 very important customers who are looking for AMCs.

We are looking for the value of 350 numbers in ARVs. If it happens, over a period of 6-7 years, every year I can do 25-30 numbers and something in the AMCs as well.

Now, another area which we are working very much focused is the new products. For example, a lot of import substitutes are happening. Government of India's emphasis is on purchase from local companies. So, a lot of new parts are coming.

Earlier things which were imported from Russia, for example, Minefield, Mining Equipment, Mine Burriers, Mine Layers, Mining Equipment. Everything now has to be done in India and we are participating everywhere. So, that is another new product that is coming up.

ATTs, aircraft towing tractors, you know, unmanned aerial vehicles, and stuff. So, a lot of new areas we are concentrating. In aerospace, we have a plan to move from INR 20 crores to INR 500 crores. Navy also we are concentrating. So, what I said that defence and aerospace business is going to be focus points. I am looking for defence business to grow at least 30%-40% on per year basis. Also, defence order book to grow much higher.

Analyst: What do you need more to expand?

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Shri Ajit Kumar Srivastav: See, now INR 300 crores-INR 900 crores we have set. Now the whole company resources we are utilizing. For example, we have plans to do it in KGF and Palakkad. We are doing in Mysore also.

So, we are just trying to utilize and make a kind of a long-term thing. The second thing we are doing a lot is outsourcing. With this, I think INR 1,000-1,200 crores, we should not have a problem. The capacity is there.

Analyst: And the ARV vehicle that you mentioned, is there any update or status on that? I think it has been pending for a long time.

Shri Ajit Kumar Srivastav: Which one?

Analyst: The ARV vehicle.

Shri Ajit Kumar Srivastav: Yes, very good thing happened now. We have started on ARV product. We are manufacturing fully indigenous ARVs, which we are going to give it in a span of 12 months. We will give two ARVs. I don't know what quantity we will get order. We have to go through the trials. That project is going on now. We have resolved everything.

Analyst: Where does the contract come from and who are your competitors?

Management: Competitor, that's a big one for HMTs. It's Tata and many companies.

Analyst: How much contribution is HMT and ARV in Defence?

Shri Ajit Kumar Srivastav: HMTs, this segment what we talked about last year, will be 60% for HMTs, 40% ARVs. But in the future, HMTs will be 30%. ARVs will be 30% and the balance will be aggregates and new products. So, that's a thing in the agenda.

Analyst: Sorry, what did you say? HMTs 30%?

Shri Ajit Kumar Srivastav: 30% HMTs, 30% ARVs. 40% will be the new projects. For example, dredging, mining equipment, remaining equipment, aggregates, AMCs.

Analyst: This will be the revenue mix?

Shri Ajit Kumar Srivastav: Yes.

Analyst: Sir, also margin recovery to be seen with the new mix?

Shri Ajit Kumar Srivastav: Yes, we hope. So, because indigenization is in progress. There is a lot of development charges, but definitely the costing, possibly it will be lesser than what it is before. So, I expect margins will be better.

Analyst: So, what will be the rough margins, currently?

Shri Ajit Kumar Srivastav: See, margin is something you cannot be sure, even if I get order on nomination basis, from Government of India, there is no mechanism to have a cost advisor's assessment before the

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pricing itself. So, margin can be 2.5% and 7.5% in some cases. They give margin on the spare parts 2.5%. Some products margin can go up to 10%.

Analyst: This is EBIT margin or EBITDA margin?

Shri K Sasi Kumar: This is the gross margin.

Analyst: And sir, given the order book which is INR5,000 crores, and we are saying execution will

be

like INR 1,000-1,200 crores. So, the entire order book, this order book will be executed over four years to five years?

Shri Ajit Kumar Srivastav: This order book will be executed in three years to four years.

Analyst: And what will be the pipeline, in the sense that what we are seeing, what will be ordering from going forward in terms of overall?

Shri Ajit Kumar Srivastav: See, in order, see, for example, bridging system, what they executed, another in pipeline is for 30 numbers. So, I am expecting that it will be closed this year, and Arjun ARVs. I am expecting INR 2,000 crores order, at least INR 2,000 crores this year. And then the big ticket orders which we are working on, along with our technology partners, along with collaboration, along with ToTs. So, 60% might be on competition mode. That is the future. For example, T-72 overhaul, that is all on the competition mode, because government has opened such contracts for private sector to come in. And we hope to be government's best choice to take this order. So, if you look at T-72 overhauling, it is INR 20,000 crores opportunity.

Analyst: That will be over multiple years.

Shri Ajit Kumar Srivastav: Yes, it depends. three years to five years.

Analyst: So, who provided those? We bought it from a Russia?

Shri Ajit Kumar Srivastav: Yes, India earlier bought it from Russia.

Analyst: So, this gross margin of 7.5-10% in defence, do other segments have better gross margins?

Shri Ajit Kumar Srivastav: I'm not saying we have a better margin than the other products. For example, the participation in the metro business is very much competitive. Our difference with China was hardly 0.5% in the MRS tender. That is very competitive.

Analyst: So, you said you think that with the current capacity we can achieve INR 1,200 of revenue in FY24.

Shri Ajit Kumar Srivastav: No, what I mean is that, this is what we see according to the level of utilization of resources which we are anticipating. We are also incurring capex which can take our capability to maybe INR 1,500 crores in defence.

Analyst: Sir, how much capex are we doing?

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Shri Anil Jerath: We are planning a capex of around INR 350 crores this year.

Analyst: What will be the capex for the defence segment?

Shri Anil Jerath: We cannot specifically say on defence as the capacity would be utilized across segments.

Shri Anil Jerath: But if you see the potential, potential is huge.

Analyst: inaudible

Shri Anil Jerath: [inaudible] to you about plan to hire more number of people as some people are also retiring, because we have to have people at the right places, at the right designation. So, we have to recruit people. We are planning for recruiting more people. And we will ensure that manpower won't become a hindrance in our growth. New skill sets are required in certain areas.

Darshan Engineer: Should we expect that your employees, which have been really good for the past, but we have to call off. Older employees retiring and the VRS and all that. That is now over. So, we are behind now.

Shri Anil Jerath: That is checked. 25% people have gone in the last three years. But then we will not be recruiting equivalent 25%. We will select different sets at different levels.

Darshan Engineer: So, this 5,000 can go down to 4,000 over three years.

Shri Anil Jerath: So, that is what I am saying. If people still continue to reduce, recruitment will be to the extent of our requirement. So, if requirement starts increasing, definitely some more employment will come.

Analyst: So, with the INR 7,000-8,000 crores revenue that you are doubling in three to four years, what kind of employment do you anticipate for that growth?

Shri Anil Jerath: We feel that with the present capacity level, we can deliver additional INR 1,000-1,200 crores. It is with all the same capacity. After that, we will definitely need more people. It is all a matter

of time.

Analyst: What is the margin outlook overall?

Shri Anil Jerath: Margins will definitely increase from here. Double digit margin is definitely possible. Reduction in manpower cost as a percentage of sales will lead to increase in margins. What we are trying to do is that efficiency level has to increase. In this kind of industry, usually manpower cost as a percentage of sales is 16-17%, at present ours is on a higher side. So, the manpower will increase in the coming years but efficiency and productivity will also increase. With our revenues doubling in three to four years, manpower cost as a percentage of sales will improve. It might not reduce to 16-17% level, but might be close to 20%.

Analyst: So, overall, when you look at our margins, we see that there will be an increase in our margins, right? But when our margins actually go ahead, every business has certain margins, right? What are those optimal margins?

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Shri Anil Jerath: See, we are having 3 unique businesses. And all 3 having a different line of execution as well as the product development. If you see rail and metro and defence, these are time consuming contracts. Means contract will take minimum 2-3 years. And mining construction and to some extent small orders of rail as well as defence, can be converted within 12 months. So, our strategy is first to increase our turnover. We have to get few big ticket orders which will continue for another say 4-5 years. So that the manpower will remain engaged. Then, in metro segment as well we have to compete. It's international competition. So, definitely margin to some extent will be less. If volume increases, we can improve margins.

Now, what we are trying to maintain is a fixed cost including our employee cost. We are keeping at certain level. We have good checkpoints. It should not be more than this percentage. So, once my production or turnover will increase, this fixed cost element will not increase in the same level. So, reduction will be there. Cost effectiveness has already been started. If you see result from the previous year, the margins have been improving. So, slowly and slowly we are building on the margins. Yes, EBITDA margin or gross margin will differ in each segment. Somewhere it is high and in some products it is low, it can be made up with the volumes. Where it is high, we can still take some risk and grab some orders. But overall our expectations are we should not come down below two-digit margin.

Deep Master: Can you explain the margin difference across segments?

Shri Anil Jerath: It is difficult because it is mostly what is called product based. Like in our KGF unit, we are doing both defense as well as mining. Even rail we are doing in defense unit, that is in Palakkad. There we are doing some portion of rail aggregates also. So, it is altogether mixed.

Deep Master: We are trying to understand the texture of your business change in the different areas of competitive bidding. And as the defense business scales up, then the margins in the defence business will be significantly different from your previous margin. Because down the line when the defence margin will be mid to high teens, and that can change the overall texture of the margin.

Shri Anil Jerath: Yes. Definitely. See, in Defense customer is always same. These the contract is tender based, we can quote margin as per our wish. But if it is a single tender or on nomination basis, then it will be based on the cost already done by the customer. On the cost incurred they add margin and give to us. So, that means no order will go in loss. Only thing is margin percentage may vary. When the volume increases our bottom line will definitely improve.

Deep Master: What is the average increase and the HMTVs. They are on nomination basis?

Shri Anil Jerath: Some orders are. Some other orders we have to participate in tender. Though we may be the single bidder, but we have to follow the tender procedure.

Analyst: Sir, can I ask a question? In H1, your capex is roughly INR 40 crores. You mentioned INR 350 crores in FY24 earlier and yearly we met INR 50 crores, INR 60 crores. So, where is the rest of the capex?

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Shri Anil Jerath: What we wish to mention is that there were some spillover from the last year. This year, by the end of this year, you will see a drastic increase in Capex spend.

Analyst: And when will this capex be completed?

Shri Anil Jerath: INR 350 crores capex we have already allocated. Slight variation may arise. But significant improvement as compared to previous years can be seen.

Analyst: Where are we allocating our capex?

Shri Anil Jerath: See, in KGF facility we are enhancing our capabilities, machinery upgradation, civil works, paint shops automation, etc. There are a lot of other things. There is an immediate requirement. So, there we have spent. So, next year again, we will review and we may further increase our capex.

Analyst: Sir, on the Metro side, what is the annual demand for general manual? How much Metro coaches are ordered versus the capacity?

Shri Anil Jerath: It is very difficult to find out. There are so many cities. The study done by the government side or the Metro corporations, requirements are there in two-tier cities.

Analyst: How much ordering. It is roughly how much versus the capacity in the industry.

Shri Anil Jerath: In the industry?

Analyst: Not only listed, but the other ones too.

Shri Anil Jerath: No Public sector Indian company is there in Metro Car manufacturing. Rest all are overseas companies. With whom we are competing. And again, the requirement again is based on the tender. Requirement is more than 1,000, maybe 1500 coaches.

Shri Anil Jerath: See, if you look at Metro, every city in North India, or Chennai for example, Bangalore, Patna. If you talk about the potential, that is unbelievable, maybe more than 1 lakh crores is what they project as Metro requirement.

Vande Bharat, EMU coaches and then AC cars. And there is a huge potential. And for BEML itself, if we get big ticket order, it can total up to more than INR15,000-20,000 crores.

Analyst: Demand is more than the capacity, then why are the margins kind of low?

Shri Anil Jerath: See, if you look at the manufacturers in India, earlier people used to compete very hard. And it was a very tough competition. Now, Alstom, Bombardier, Titagarh, you can see, everybody has got orders. Now the competition price wise, I feel now, the people became sensitive. They are raising their bar. So, with this kind of understanding, which has come in the market, the price I feel is going to do better.

Analyst: And what is the current?

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Shri Anil Jerath: If you see Metro, which we won in Mumbai, and we became L1, defeating even Chinese by 0.5%. That was the thing. But now, China is not there. And now we are making India stronger. Now I feel the prices are improving.

Analyst: How much are prices improved?

Shri Anil Jerath: Now we feel that everyone has improved prices. Currently, I feel it's an improvement.

Analyst: And what will be share of Metro in the current order book?

Shri Anil Jerath: INR 6,000 crores roughly is Metro.

Analyst: 6,000?

Shri Anil Jerath: Recently we got Bangalore Metro. It was only INR 3,700 crores. So that's why it has gone up.

Analyst: Total will be 6,000. Out of 13,000?

Shri Anil Jerath: Approximately.

Analyst: And 5,000 is defence?

Shri Anil Jerath: INR 4,600 crores is defence.

Analyst: And this Metro order will be executed at what time?

Shri Anil Jerath: See, the Proto takes minimum 18 to 24 months. And after that, every month we can supply 18 to 24 coaches.

Analyst: Our capacity is 250?

Shri Anil Jerath: Our capacity is approximately 300, per annum?

Analyst: Per ann

um.

Shri Anil Jerath: It can be increased. Because sub-assemblies we can do in other units also.

Analyst: And here you think the margins will be better than what you saw in the past?

Shri Anil Jerath: Metro? It depends on the competition.

Analyst: Because you have got the order, that is why I am asking. The competition you know, right? The pricing is already done.

Shri Anil Jerath: If you see the last time, the competitor quoted rock bottom price. And this time they quoted very high price. So it is again their requirement. If the plant is full, they quote very high price.

Shri Anil Jerath: This is very quickly happening. Same thing happened with the one that I talked about. It depends on the order. I think margins will be good.

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Analyst: So what is your value addition in metro coaches?

Shri Anil Jerath: So the entire thing we are making, metal sheets, bodies, side frame, etc. What we are taking is only propulsion. Rest everything is in-house.

Analyst: 80% will be in-house value add?

Shri Anil Jerath: Almost.

Analyst: So what will be the capacity of these Vande Bharat coaches?

Shri Anil Jerath: We are making the sleeper version of Vande Bharat.

Analyst: Sir, last time you said that we are adding capacities in the metro division in FY24 and FY25?

Shri Anil Jerath: Work is on. We are incurring capex.

Analyst: Is it a greenfield capex or brownfield? Is the structure ready? How much capacity do we have for Vande Bharat?

Shri Anil Jerath: Currently, there is no capacity for Vande Bharat.

Now we got one order from ICF. They have given some portion to us, design and manufacturing will be ours. Some of the aggregates they will be supplying at free of cost. Similar orders are expected. It depends on railways plan. Vande Bharat is going to be the future.

Shri Shantanu Roy: Welcome, and thank you for investing in us.

There is a strong pipeline for Vande Bharat. Government has already plans for 800 Vande Bharat trains by 2030 and we are already manufacturing first sleeper train in collaboration with ICF and

we plan to get prototype ready by March 2024. We will have the first mover advantage in sleeper version of Vande Bharat train. We will be better prepared for competitive part of Vande Bharat sleeper tender in future.

Analyst: Railway business will become how much in three to four years because of Vande Bharat?

Shri Shantanu Roy: Total opportunity size is over INR 2 lakh crores in seven years so definitely our volumes in rail business will increase and our rail & metro business will grow substantially.

Analyst: What all projects are included in the INR 2 lakh crores opportunity sir?

Shri Shantanu Roy: Vande Bharat is there, other coaches are there, LHB is there, Vande metro, other metro coaches. EMU is there. I am not including the Rapid Rail Transportation System (RTS) in this number.

Analyst: And our capacity for sleeper version of Vande Bharat? Will the same capacity for making metro trains be used for Vande Bharat sleeper version?

Shri Shantanu Roy: No, the capacity for metro and sleeper trains would be different. The metro coaches are basically standard gauge, so we have a different line for metros. And for main line trains, like the EMUs

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or sleeper trains, we have the broad gauge. So the capacity which will be used for sleeper will be different.

Analyst: What is the capacity for...

Shri Shantanu Roy: You know, our inherent capability of manufacturing stainless steel coaches which we have gathered over the last 20 odd years for making metro coaches is coming in very handy.

Analyst: What would be the capacity for Vande Bharat coaches?

Shri Shantanu Roy: By capacity you mean the passenger capacity?

Analyst: No, manufacturing capacity. For example for metro coaches we have 300 coaches per annum capacity.

Shri Shantanu Roy: That we have not yet pla

nned. You see, it depends on the ordering. Each Vande Bharat has 16 cars. We are at the evolution of making sleeper car, what we are planning is to make 1 trainset in a month or 45 days.

Analyst: So 9-12 trainsets in a year?

Shri Shantanu Roy: Yes, once we really get into grip of things, then we can scale up.

Analyst: Sir, mining construction we are talking about capex and increasing our production capacity.

Where is the opportunity for mining construction?

Shri Shantanu Roy: You see, most of the business comes from Coal India and other coal subsidiaries. There are two ways to look at it. One is the departmental acquisition. In Coal India another way of bidding is MDO model which is the mine developer and operator model. They are paid on per ton of coal manufactured. As far as capex is concerned, good news for us. You might have heard that Ministry of Coal is saying that there will be no import of high-end mining equipment. We are already in the process of developing some high-end mining equipment and we have developed some high-end equipment.

There are six stages of use of mining equipment. First is excavators, then there is bulldozers, third is the loaders, dumping trucks, motor graders, and then the tyre handlers and water sprinklers. Right now, we are making 3 tonnage type tyre handlers and the 8 ton tyre handler is under development stage, apart from the 20 cubic meter shovels and the 550-horsepower motor graders. So, these five to six equipment, they make the bulk of the mining and extraction equipment.

Moderator: Can we have the last few questions please?

Analyst: What is the competition in this segment?

Shri Shantanu Roy: Our competitors are OEMs from Japan, from Europe, from USA. We are pretty comfortable.

We are competing with them. All of them are not getting orders. But we are competing. We got quite a few orders in the last 15 days. We have got some big orders for dump trucks, water

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sprinklers, for bulldozers, for the 60-ton dump trucks and more of such orders we are already bidding and we are about to get the order. And some of the bidding is going to happen over two months' time but we are in a position where we can execute majority of those in the current financial year. In mining execution, there is a different concept. We have a concept of a production plan. Based on the plan of the mining companies, both coal and non-coal, we take advance action based on our reading of the situation, based on our analysis as to what is going to be our order booking trend, which equipment we are most favoured to get and where the long lead time items, they take more time in procuring. So the cycle is six months, eight months. One

year before we take the action. Almost a year before, for example, FY25 actions, we have already started initiating. We have started the mining segment planning because we know what is the plan, we know what is our capability, we know what is the market size. So what happens is as soon as we get the order, maybe within two, three months, in some cases in 50 days, we're able to do the sale.

Analyst: What is quantum orders you can expect from the private miners?

Shri Shantanu Roy: You see private miners, I cannot draw a number because mostly, as of now, private miners are not doing the big mining. They are not developing the big mines where the high-end equipment will be required. They are mostly working in smaller mines where they require equipment's which are common to both mining and construction. Now, when it comes to the construction segment, for example, smaller motor grader is used. Also it is used in a smaller mining. So literally there is no need maybe for the private player to purchase a new equipment. And they would rather go for second hand equipment.

Analyst: What is the guidance over the next two three years, the dividend yield, the overall related margins also. How do you see that

behaving? Would there be reasonable operating leverage?

Shri Shantanu Roy: You see, first is that doubling of revenue will happen or not that is to see, whether two years or three years, what I can say is that we are aspiring to grow at 20% per annum. We crossed the INR 4,000 mark only once, that is in FY22. After that there was a dip around 7%. So if we grow at 20% year-on-year, in three years' time we definitely look to crossing the INR 7,500 crores. So that is near to double. Whether it will be exactly double or more than a double, that only time will break. The key growth drivers for us are the fastest growing sectors. The fastest growing sector is the rail & metro and second is the defence & aerospace. Mining will continue to grow. Mining will continue to grow at 5% to 7% year-on-year. And why I'm saying three years because for example, the Bangalore Metro, the order which we are signing orders in August. In 96 weeks, we are supposed to come up with the first prototype. Once that is done, we go for the bulk manufacture. So three years will be the time when the maximum manufacture of Bangalore Metro will happen. And by that time, if we are able to get some more track machines, some more EMUs, some more Vande Bharat etc that is the time we can maximize our revenue from rail & metro.

Similarly for defence. Already we are working on quite a few defence opportunities which are going to fructify maybe in another six months, maybe another twelve months. And after that there is a time for FOP, that is the first of production clearance. And the bulk production

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clearance is given based on that. So that will be the time when the bulk production will be given and will be in a position to manufacture and roll out all the defence orders.

As far as the margins are concerned, you see. Firstly let us understand that in a capital goods manufacturing company, margins are pretty tight. Most companies earn single digit margins. So in spite of that, we have almost reached double digits. Next year I expect that we will reach the double digits. We will grow EBITDA by 200 basis points. And someone asked me a question earlier also that do I look at having the EBITDA in the late teens. So my answer is no, I don't look at that grid. Maybe even if we are able to do around 13% to 14% EBITDA, that is pretty healthy for the industry that we are in.

Gauri Anand: So you are saying that 14% EBITDA is achievable in four years when all the engines are running?

Shri Shantanu Roy: Absolutely, it should.

Analyst: In terms of our manufacturing power, what are the areas of improvement. Is there any requirement of incremental capex?

Shri Shantanu Roy: Already we have put in capex, I would not say it incremental capex but it is substantial capex and the capex would be focused on three things. One is enhancing our capability in defence, in rail & metro, in mining. Number two is upgradation of the existing machinery, plant & machinery. Number three, civil work. Critical civil works we had to do, the paint shop automation, etc. like those are the critical things that we have to do. That's the reason we have plans to infuse around INR 350 crores of capex this year, which is almost 8% to 9% of last year's sales. And if all goes well, next year we would like to further enhance by around 40%. But after that, I understand that we don't need to infuse further capex, at least no further major capex, at least for the next five years. Because during that time, maybe we need some incremental capex to take care of repairing some of our machines, going for some new facilities. So it will be incremental. For next two years, the capex, whatever we infuse, it should take us through the next five years.

Moderator: Due to paucity of time, we have the last question.

Analyst: Comment quickly on your net working capital cycle. On the net working capital cycle?

Sh

ri Shantanu Roy: Net working capital cycle? I can comment on the working capital. I didn't understand your question, maybe Director (Finance) can answer to this.

Shri Anil Jerath: See what we are seeing now, last year we had a reduction of almost INR 400 crores from INR 2800 crores to INR 2400 crores. So working capital will remain more or less in the same level even though my turnover is increasing. Once my turnover increases, number of days will come down. Level will remain same in absolute terms. So the number of days will come down so value wise it will not increase.

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Shri Shantanu Roy: If you look at our working capital, which in the range of INR 2,500-INR 2,800 crores, with that kind of working capital, I think if we grow our sales, it is going to be better over time if we keep our working capital same in absolute terms.

Analyst: What is our guidance for turnover?

Management: See our aim is to grow by 20%. We have the orders, we have the orders which can be executed. We are focusing on that kind of growth.

Analyst: What kind of margins you are expecting to achieve by the year end?

Management: Last year we closed the year at 9.2%, and 200 basis points improvement means it should be 11%.

Moderator: Thank you, ladies and gentlemen. With that we conclude our session.

Call: May 2024

1BEML Limited Earnings Meet

■ Speaker:

■ I think we can start. Some of them are on their way, but they are stuck in traffic but we can start, since we're here only till 11:00.

■ Management – BEML Limited:

■ We can start with a basic overview and then...

■ Mr. Sasi Kumar – Executive Director (Finance), BEML Limited:

■ Good morning, I am Sasi Kumar. I work as Executive Director-Finance in the Corporate Office. We have a presentation. I am sure you'll be aware of BEML. BEML incorporated on 11th May 1964. We have three business verticals. Defence & Aerospace, Mining & Construction and Rail & Metro. Revenue contribution each vertical has given in FY 24 is mentioned here. In this year's revenue, Defence & Aerospace has contributed 19%, Rail-metro contributed 38% and Mining & Construction has contributed 43%. Equity base is 54% with GoI and 46% with Others.

■ You all would have heard, BEML has re-organised our existing Business vertical into eleven SBU (strategic business units) and two micro-SBUs. Under Mining and construction business vertical, Mining, Construction, Sustenance and H & P. Sustenance is basically after sales service. Under, defence vertical, Armoured, HMTV, aerospace and engines SBUs are grouped. Rail metro has been split into commuter rail and metro rail. International business is a separate SBU. Maritime and Special Economic Zone are two micro-SBUs, which are in nascent stage.

■ This shows how BEML's products got evolved over a period of time from 1964 onwards till now. The latest being Rail Grinding machine supplied in 2023. In addition to that now we are developing 1500 HP engine for Battle Tanks which is not mentioned here, because it is in development phase. We started with rail coach manufacturing at Bangalore. HMTVs in 1967 at Kolar Gold Fields. Then high mobility weapons in collaboration with TATRA. Then transmission we started manufacturing in 1987. We have entered in 2003 in Metro segment. Till date we have supplied to 5 metro corporations in India. In 2019, biggest mining equipment that is electric excavator as rolled out in 2019. Then some of the AI features we have introduced in equipment in 2020. In 2021 driverless metro car supplied to Mumbai metro. And the last product is the Rail Grinding Machine which we have supplied to M/s. LORAM USA in 2023.

■ This shows the network of BEML Pan-India. We have manufacturing locations in 4 places - Kolar Gold Fields, Palakkad, Mysore and Bangalore. We have 12 regional offices and 19 district offices spread across the nation. There are 2 Defence Spares Divisions and 2 activity centers.

■ This slide shows major products of BEML. The last one you can see at the right corner is the Vande Bharat sleeper train which we are under production.

■ And these are major accomplishments of BEML. We have supplied more than 8,960 high mobility vehicles. We have exported to more than 71 countries, totalling to Rs. 7,000 crores.

■ These are the major achievements during FY24. First firing of 1500 HP engine, carried out at Mysore Engine Division. Vande Bharat, sleeper trains' manufacturing commenced. This year it's nearing completion. Then the 21 cubic meter rope shuttle. Last year we got the New Marseille order which is 3,200 crores worth. And for ISRO we have supplied some aggregates for this launch vehicle Mark III. And first time, this underwater river tunnel, the metro rail operation started in Howrah. These are the major achievements in last year.

■ And, our global presence is like this. We have exported to 71 countries mostly in all continents, except Australia. And the export turnover is like this, In 2019-20 we were at Rs 62 crores, now we are at Rs 1,066 crores. This includes the Deemed exports.

■ Shareholding is, Govt of India holds 54.03% and Institutional and Retail share holdings are mentioned against each.

■ These are some of the key highlights all of you might be aware. We had an e

xcellent

performance in 2024. Share price which was at Rs. 1,257 in March 2023, has increased to Rs. 3,183/- as on 31st March 2024. To Net worth we could add around Rs. 250 crores. Our Manpower strength has come down from 5,197 in Mar 23 to 4,888 numbers in Mar 24. As per the guidance given in last year our EBITDA has gone up by 200 basis points. R&D expenditure has gone up by Rs. 20 crores to 87 crores. And from R&D developed products we have sold products around 87%. During FY 24 our sales achieved through

competition mode 76%. From MSMEs, we have bought around 31% of our procurements. CSR spent is 3% of average 3 years PBT. And 98% of energy requirement is met out of energy generated from our Wind mills located in Karnataka.

■ Revenue from operation break up is like this. M&C contributed around 43%, Defence 19% and rail metro 38%. We had substantial growth in rail metro last year. And, revenue from defence vertical contracted from 23% to 19%. Mining & construction also came down. Overall, we have gone up in 2024. Value of production is Rs. 4,056 crores, last year we were at Rs. 3,802 crores. VOP is more or less in the same proportion as Revenue from Operations i.e. 35%, 21% and 43% from Rail & Metro, Defence and Mining & Construction segment respectively. Order Book has gone up from Rs. 8,570 crores as on 31st Mar 2023 to Rs. 11,872 crores as on 31st Mar 2024.

3■ Gross margin is up by 25% from Rs 389 crores to Rs. 486 crores. PAT has gone up substantially from Rs. 159 crores to Rs. 283 crores, with a growth of 78%. Value of production per employee increased to Rs. 83 lakhs, that is around 14% increase. Manpower has come down by 6% compared to last year.

■ Collection has gone up Rs. 112 Crores and debtors also have gone up by Rs. 202 Crores because some of the major sales happened in March end. Inventory has gone up. Employee cost has come down from Rs. 840 crores to Rs. 822 crores. Finance cost come down because of lesser borrowings. Thank you.

■ Participant Question:

■ Sir, in one of your interview you had mentioned that your long term guidance for revenue was around Rs. 7,000 crores by FY26. Now you are expecting 18 to 20% growth after this result. So, if we take that then this 7,000 crore guidance shifts to FY27 versus earlier budget of FY26. You have huge order book in hand and plus you are expecting strong order inflows in this year. So, why you are not expecting execution to pick up?

■ Management - BEML Limited:

■ There are several reasons for this. Number one, had we ended the year with order book of 17,000 crore which we had initially projected, probably 7,000 crore would have been possible. But as you know there were certain push backs. Some big ticket tenders were pushed back, they were discharged. For example, the push-pull aluminium train, 100 train sets. So that opportunity itself is around 36,000 crores. So, it has been pushed back and we are expecting that after the elections it will again be relaunched.

■ Secondly, in the rail sector, some more track machine tenders were pushed back. Now we expect the ordering to be done sometime around July to September.

■ Thirdly, in the metro there were two major push backs. One was the Bangalore metro, the variation order. The second was the Kolkata metro East-West corridor, 8 rakes, i.e. 48 cars. And if you would have got a chance to see my interview, go through my interview in the Times of India, total they need 25 train sets. We have supplied 14. 3 more we are going to supply by June. The KMRCL had come up with 4 rakes because that was the budget available, but now they have withdrawn that; they want 8 rakes in one go. And since the earlier rakes were supplied by us, so obviously it will come to us only. So these were the reasons of the push back. Now when there is a push back, the gestation time for such projects is pretty long. For example, even if Kolkata metro we get another 8 rakes

by

September also, we will not be able to execute within the current financial year, because the procurement cycle itself will be around 10 to 12 months.

■ Similarly, the push-pull train if something happens only in December or January, in case we are able to secure the order, that will add to our order book, but there will be gestation period of at least 24 months by that time we can deliver the first proto. Like what happened to Vande Bharat, Vande Bharat last year May we got the order, we were fully ready, geared up to complete in March. And in March our car bodies were ready also. When the Hon'ble Minister visited on the 9th of March, already the car body shells were nearing completion. Out of the 16, 8 were ready and the balance 8 were also ready exactly on 22nd March. Now there are quite a few items which are free issues from ICF. They have started flowing in from 15th of May. So, the first proto we are pushing by 15th of June. Max by end of June we will push the first proto to ICF, the complete train. Once that first proto undergoes extensive trials and the CCRS inspection which I hope will be done in 2 months' time, then by September we will start delivering the balance 9 rakes also, and we can do that at the rate of 2 to 3 rakes a month. So we intend to finish everything by December.

■ So, these are the reasons because of which probably 7,000 may get shifted by a year or so. You would've seen, we have restructured the company into 11 strategic business units and 2 micro SBUs, the idea is that every strategic business unit gives average 1,000 crore turnover. And the micro SBU gives 500 crore average turnover. That is the aspiration. And that is not going to happen overnight, it will take 2 years to reach to that level. But in 2 years' time, definitely, we should start seeing the results. So, this year our main aim is to

ramp up our order book. And that is the reason when I told CNBC TV18 that we should be looking at order book guidance of 20,000 to 30,000 crores, it sets a broad range, but there is a reason for it, the broad range, because there can be some push backs again. There can be some delays in the big ticket tenders.

■ So, our main focus in 2024-25 will be, number one, getting more and more orders, ramping up our order book, both in defence and rail and metro. Mining, of course, will come naturally, in its natural way to us. Already orders have started coming, and we are looking at a huge export market for mining and construction also. Construction, literally it was contributing hardly 0.5% to the top line. This year we have order book opportunity size of at least 1,000 crore as I speak to you today. How much we can get out of it with the new strategic business unit, only time will tell.

■ So, our first priority is to ramp up the order book. Number two is to consolidate our execution strategy by way of stabilizing the strategic business units and also handholding the micro SBU, so that they can reach the level of the strategic business units.

■ Participant Question:

■ What do you mean when you say you need to stabilize the strategic business units? Which parameters you are looking for?

■ Management - BEML Limited:

■ You see, we have launched the strategic business units on 1st of April. The company has been working based on certain principles, certain business model. Now there is a drastic change, there is a radical change in the business model of the company. So, we have to do a lot of internal churning which we are already doing. You know internal SOPs and all, they are in place. Then, there is a huge shift, huge transfers, restructuring which has taken place from various divisions, to strengthen each of the strategic business units.

■ Number three, apart from the strategic business units, we also have restructured the R&D into three levels. First level or the first group will be with each of the SBUs. Each of the SBUs has been given a huge chunk

of R&D people, so that the SBU heads, they can really function as the CEOs. That is the idea, to empower them and to have faster decision making and to have complete control.

■ Second structure in the R&D that we have brought out, is coming out with Corporate Technology Planning and Strategic Alliance. Why that is important? Because this is one of our major growth models, to have strategic alliances and to have a centralized focus on acquiring technology. So with that in view, we have formed a team led by an Executive Director, to head the Corporate Technology Planning and Alliance management.

■ And the third and most interesting part of the R&D, is the new innovation and incubation centre that we have created. As of now there are some 40 odd engineers in that. We are in the process of inducting around 30 more engineers from IITs and NITs. Already the campus interviews have taken place, offer letters have gone and very shortly they will join us. Plus, we are recruiting more to strengthen this. The major focus of this new group will be to work on all futuristic technologies including the artificial intelligence. For example, if we go for a project, for example defence project, any futuristic combat vehicle will go for. So, futuristic combat vehicle will involve lot of electronics, lot of AI in that. So we have to prepare ourselves. Till now we were only focusing on the mechanical part, we were not really into the electronics or the communication part. Now even for the metro tenders we have the signalling as a part of the rolling stock. We also have the passenger screen door as a part of the rolling stock. So we have to augment our capabilities also. So that is the step in that direction, creation of such a group.

■ So, when I say the stabilizing the strategic business units, it is at the operational level, it is clearly defining the model because there is a period, may be 6 months, where we may have to redo things, we may have to close some areas, close some businesses and may be open, create some new departments or some new divisions as well. So it is all a part of the churning process, it is all a part of the transformation process. So that is why I said the SBUs will need some time to stabilize. And I am giving the SBUs a time of 8 to 9 months for them to stabilize. That's again one of the reasons why 18 to 20% CAGR is probably the right number for the current financial year.

■ Participant Question:

■ Sir, are you letting go of people, because I saw the number of employees in FY24 is lower than what was in FY23.

■ Management - BEML Limited:

■ That is because of the natural attrition. I have been telling that around 25% of our workforce is going to separate from us in next 2 years. So that is a huge number. Right now we have around 4,800. So, it will be around 3,000. So, we have to ramp up our human resource numbers, human capital as well. So, we have already started, we have already embarked on that journey of onboarding talent.

■ Participant Question:

■ This is mostly through retirement.

■ Management - BEML Limited:

■ 99% is retirement. Generally, in a public sector, attrition levels are very low. Very very low.

■ Participant Question:

■ But this is an attractive field. There are lots of people who want to be... especially in the engineering and R&D part.

■ Management - BEML Limited:

■ That is for the investors to decide whether it is really attractive or not. But what we see is that we are in such a sector that there is a lot of potential, huge, huge opportunity size and that is what we are working on. That is one of our value creation initiatives. The SBU formation is our value creation initiative. The restructuring of the R&D is a part of our value creation initiative. And you have to give some time for these things to stabilize before we really see the quantum jump. So, we are talking about 7,000 crore, 8,000 crore. If the SBUs are

able to stabilize and you know the aspiration that we have from each of the SBU and micro SBU, if it happens, we cross 12,000 crore also. How much time? That only may be after 2 years it will be very clear where we are.

■ Participant Question:

■ Sir, since we are expecting new order inflows, then in terms of capacity, how ready we are across the segments?

■ Management - BEML Limited:

■ You see, when we are concentrating on the order books, we are also parallelly working on ramping up our execution capabilities. So, there are two ways in which normally people will execute. One is outsourcing, the other is creating new capacities. So, we are right now focusing on a strategy where we want to keep the core within the company. For example, in an engine, the 5 critical components, it is always advisable to have it within the company and to have it within our own control. So, with that in mind, this year the board has decided to infuse a CapEx of around 480 crores, which is around 10% of our last year's revenue. It is a huge, huge number, but we are ramping up the capacities, number one in the engines. So engine is not only one program, there are at least 5 programs we are concurrently working on right now, and we have on boarded around 30 people in R&D till now, only for the engines.

■ Second focus on the capacity augmentation or the capital investment is the defence. The engine also has a portion for the defence, and the pure defence for the armoured vehicles, for the high mobility vehicles, for the overhauling opportunities that we have, whether it is a T-72 engine, whether it is armoured recovery vehicle overhauling. So that is again our focus area. The major chunk of our CapEx goes into these two.

■ And, the third major chunk of the CapEx, which is around 30% of our total CapEx, is in the rail, because it is not only Vande Bharat, we are also looking at an opportunity size of atleast 15,000 crores for the metro. We are already excluding Line 2 & Line 7. We are on the verge of completing the Kolkata Metro. We have just started the execution of Bangalore Metro, 318 cars. We are expecting a variation order of another 80 cars. We have the Chennai Metro, 210 cars plus 96 cars coming up very shortly. 24th is the bid submission date. We have 474 cars, 3 projects in Mumbai Line 4, 5, 6. So the opportunity size is huge. So, we have to ramp up our capacity. There's no hanger, so we have already undertaken that. So, maybe it will take us one year to come out with new facilities, by that time we will have the orders. So, the execution will then work smoothly.

- So parallelly, apart from the order book, we are focusing on, number one, enhancing our human resource capital, and number two, enhancing our capability, the manufacturing capability. So, it's a two-pronged strategy. And third, of course, is indigenisation in a big way. And, there we have done a lot of handholding for our supply chain partners. The 1500 HP engine, there we did a handholding of atleast 40 supply chain partners across all over India. Majority of them are from the Pune, Kolhapur, Satara region and the Coimbatore and the Chennai, Hosur region; Tamil Nadu and Maharashtra. And some portion also came from the northern side- from Faridabad and from Ghaziabad. So, it has created a huge supply chain base for us and this supply chain base is going to pay dividends when we come out with our other engine programs. Another focus area is indigenization.

- In Defence we have undertaken indigenization of the high mobility vehicles. We have brought it to more than 90%. We have faced lot of challenges in indigenization. That is one of the reasons, you know, we could not come out with better numbers as far as the topline is concerned because of the supply chain challenges in defense with our indigenous partners. But we are working on that. We are creating alternatives and you need to give some time to the indigenous ven

dors for them to stabilize, you know. And the major challenge was the quality, so we decided, we took a conscious call that we will not supply subpar quality to our customer and that's why we restricted the numbers.

- Participant Question:

8- Sir, this Rail and Metro since you'll be spending 30% of your CapEx, so in terms of numbers do you have any target that monthly production would be this, maximum it can be this number?

- Management - BEML Limited:

- You see, the maximum current capacity for the metro we say it's one car per day. But that is theoretical. Practically, we have been able to achieve 277 cars in a year and that is when the supply chain, when all the materials were available with us. That is the ideal situation. So, with the new capacity enhancement, I expect to add another 100-120 cars per year to our existing capacity.

- Participant Question:

- Sir, can we map our capacity versus our competitors and others ?

- Management - BEML Limited:

- You see the overall India, if we talk about the Metro then Indian railway is not there.

- Participant Question:

- No-no, sorry.

- Management - BEML Limited:

- As far as the Metro is concerned, it is BEML and ALSTOM. Titagarh is yet to set up the capacity and yet to come out with the trains from the Indian factory at Kolkata. In fact, their first train is expected in another 2-3 months. Anyway, I do not want to comment on that.

- Participant Question:

- What would be their capacity roughly?

- Management - BEML Limited:

- I can't comment on that. You better ask Titagarh that question, right. But the overall capacity in the country as on date what it exists, I think, it's around 700-800 cars per annum. Yeah, that should be the capacity.

- Participant Question:

9- And, Sir, our market share currently and how is likely to pan out?

- Management - BEML Limited:

- Our current market share is roughly around 40%-45% and we aspire to increase it to at least 60%. As I said in my interviews also, looking at the opportunity size I will go for a hit rate of 50%.

- Participant Question:

- 50%?

- Management - BEML Limited:

- Yes, and 50% what is the total number of trains or total number of opportunities if we add up, so it is roughly around 800-900 cars. So, if we are able to take 50% of that, it is good enough for us. We should be in a position to execute that in the next 2-3 years.

- Participant Question:

- Okay. So, 800 cars requirement over the next 2-3 years of which 50% you will do?

- Management - BEML Limited:

- Don't know. I said presently the tenders that are on the horizon that itself is around 800-900 cars. I have not considered the Delhi Metro future expansion. And this will take some time for the ordering to take place. Maybe by the end of this year the ordering will be done, after that there is a time period of 2 years to develop the proto. So, the real execution will start after that.

- Participant Question:

- Sir, similarly, can you map the opportunity in case of Vande Bharat?

- Management - BEML Limited:

- Vande Bharat; it's all there in the public domain. The government has announced that they want to have 800 Vande Bharat trains by '2030. Strategies may keep changing. So, as of now, probably, the government is waiting for the BEML Vande Bharat sleeper to come out. If it does well, then I'm expecting another repeat order for the Vande Bharat sleeper.

10- Apart from that, government will also wait for the 200 train sets to be supplied by, you know, BHEL, Titagarh and Transmash holding, RVNL. So, that will decide the future strategy of the government once the proto at least comes out. So, at this point of time, probably, it will not be correct on my part to map the opportunity size. So, we have to go with what the government has already announced in the public domain.

- Participant Question:

- Sir, this Vande Bharat train which you are making is a sleeper version?

- Management - BEML Limited:

- Yeah.

- Participant Question:

- And even Titagarh which they have got order, that's also sleeper.

- Management - BEML Limited:

- That's sleeper coach, yes.

- Participant Question:

- So, how different both the trains are? Since yours is first, are they making a similar kind of train or it is totally individual?

- Management - BEML Limited:

- That, you know, since it is already out in the public domain- our designs, interiors and all, so that question you should ask them. But as far as we are concerned, we definitely have the first mover advantage and it's almost ready. We are now working on the interiors and the furnishings and it will be ready.

- So, how different it is that probably the Railway Board can tell or maybe the companies who are executing the order they can tell. But what I can assure you is that it will be a worldclass train and that our honorable minister has also seen for himself and he has been very, very happy looking at our quality because we have absorbed this over the last 20 years while making the Metro trains and the same technology is also applied for Vande Bharat, which is again a stainless steel car. So, it was a very easy transition for us. Only difference was the Metro is a standard gauge train and the Vande Bharat sleeper is a

broad gauge. That is the only difference.

11- Participant Question:

- Sir, what is the kind of inhouse cost of production, whatever it takes for a Vande Bharat? So, I believe, I think propulsion system we might be procuring from outside, so just wanted to understand within the cost of production what is our contribution there?

- Management - BEML Limited:

- Our contribution is 100%.

- Participant Question:

- In terms of Vande Bharat.

- Management - BEML Limited:

- I got your point. First is, when Vande Bharat tendering took place, Transmash holding quoted a price of 118 crores per train. It was a 16 car train and BHEL quoted 139 crores, we quoted 145 crores. So, that should give you an idea about, you know, what is the cost of production?. Number two, as far as BEML contribution is concerned, it is 100% because entire train is built by us. Third is, we don't manufacture the propulsion but propulsion is coming from India only. It is not coming from outside India for the Vande Bharat. So, I think, that the answers your question.

- Participant Question:

- Right. So, just wanted to understand, so typically what is the bought out for us in a Vande Bharat manufacturing?

- Management - BEML Limited:

- Well, that is an information which I can't really divulge.

- Participant Question:

- Okay. And second, Sir, wanted to ask...

- Management - BEML Limited:

- Because it's not important what is a bought out. As I said, these days it is smart manufacturing. Everything is not manufactured within the company. So, if you look at the private sector, mostly they are working as aggregators. They're only assembling. But we are doing more than that. That is what I can say.

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- Participant Question:

- And, Sir, since BHEL has got one order and RVNL got one order and we are already doing Sleeper prototype, so are we expecting probably an order in the next 12-24 months to come to us? So, any thought on that?

- Management - BEML Limited:

- Yeah, I think, I just mentioned that we are expecting a repeat order once our proto is supplied, once it undergoes extensive trials. And based on the extensive trials and the CCRS inspection will be very, very crucial.

- So, once we have that and when we start supplying the balance rakes for this particular project, definitely we can expect a repeat order.

- Participant Question:

- And, Sir, how about the manufacturing? So, you said 277 we already have in Metro cars and then we're adding 100-120 capacity.

- Management - BEML Limited:

- That's the capacity I am talking about.

- Participant Question:

- Yeah. So, for this manufacturing for Vande Bharat...

- Management - BEML Limited:

- No, Metro is different, Vande Bharat is different.

- Participant Question:

- So, we need capacity for Vande Bharat if at all the order comes?

- Management - BEML Limited:

- No, we don't need capacity. We have the capacities because it's broad gauge. So, broad gauge there is a different facility available, standard gauge there is a different facility available. Now, the facility that we are creating, it's a hybrid facility where we can manufacture both standard gauge as well as broad gauge.

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- Presently we have the capacities for the Vande Bharat broad gauge because presently we are not executing any other rail project. We also have another unit at Kolar where we have manufactured the rail grinding machine. The first time the rail grinding machine was manufactured in India in partnership with LORAM, USA. So, that facility also can be utilized if we have more orders. So, we already have facilities at two places.

- Participant Question:

- Sir, this broad gauge, what is the current capacity which we have?

- Management - BEML Limited:

- Broad gauge?. yes, we can manufacture.

- Speaker:

- Around 200 we have done.

- Management - BEML Limited:

- Yes-yes, Around 200 coaches we can manufacture in India, both at Bangalore and KGF put together. We also have the flexibility of getting the car body shells at our another unit which is in Palakkad.

- When we did the MEMU last year, we did precisely that because we already had a rail grinding machine going on, we already had so many Metro projects going on. So, we utilized our facility in Palakkad to get the car body shells for the MEMU.

- Participant Question:

- Sir, in one of the interviews you talked about 50,000 plus prospects in Rail and Metro. So, any notable orders, Sir, including there? So, you already told that 15,000 would be for the Metro. So, just wanted to understand your thought since 15,000 is huge. So, any notable large order you are expecting there?

- Management - BEML Limited:

- Yes. We have some track machines which are on the anvil, that will be around say 2000 crores. We have, again, the Vande Bharat repeat if it happens, it will again be around 600-700 crores or even more. We can expect at least 1200-1300 crores from the Railway. And the biggest is, basically, the Push-Pull train, the aluminium Push-Pull train, which is around 36,000 crores.

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- Moderator:

- Next 5 minutes left.

- Participant Question:

- And this will be in JV with someone?

- Management - BEML Limited:

- The Push-Pull train, definitely, it will be a partnership. Could be a consortium.

- Participant Question:

- Sir, going by the orderbook and growth prospects is it reasonable to expect that over next 3 years we can double our revenue in both Defence and Railways?

- Management - BEML Limited:

- Yes, that is what we are aspiring to.

- Participant Question:

- Sir, your margins will be same?

- Management - BEML Limited:

- Margins, definitely, if our revenue goes up the margins will go up but at the same time our other expenses will also go up because as we are developing the engine program, now we are going for more engine programs, more new programs. So, obviously, the other expenses will go up. So, we will have to cover it up with our increased topline so that the margins also go up.

- Participant Question:

- Sir, the segmented level maybe 3 years down the line, can we double digit the Defence.

- Management - BEML Limited:

- No, I didn't get your question. I mean, you are talking about the absolute terms, the numbers or you are talking about the growth percentage?

15- Participant Question:

- No, 3 years down the line if our revenue doubles in Defence and Railway, our margins will be double digits in both segm

ents?

- Management - BEML Limited:

- No, it will not be like that because we'll have to live with some investments also. Those investments will also come in, the expenses will come in. There will be some consultancy that we require. So, all that will add to other expenses. So, even if the revenue doubles, the margin will not become double. Margin will be less than double. But, yes, it will be substantial. That much I can say.

- And also we have to onboard a lot of talent. If we are aspiring to do say 10,000 crores, the 4800 manpower will not suffice. Plus, we have to look at, you know, the natural separations. So, a lot of new onboarding has to be done at all levels, including the workforce level. At the same time we will maintain our wage cost. This year we have brought it down by around 2%. We will maintain it around 18%. My guidance will be to maintain it around 18% for the next 2-3 years and maybe after that once we reach a certain level we can further think about bringing it down. But it is not possible to bring it as some of the media channels have asked whether it is possible to bring it to 15%, 14%. So, no. My answer is no. It cannot be brought down to 15% so soon. It will take time and

it may not come down to 15% also but we are okay with 20%, with 18% if we are able to give more dividends to our shareholders, if you are able to increase our margins without lowering the wage cost. So, how does it matter? It doesn't matter much.

- Participant Question:

- Sir, in fact a lot of people are super annuating and you are hiring new talent. It's not that the workforce is less, just that you're rejuvenating the workforce and preparing them for a much bigger size company. It should be fine.

- Management - BEML Limited:

- Yeah.

- Participant Question:

- I don't think that should be a concern.

- Management - BEML Limited:

- It is not a concern for me at all.

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- Participant Question:

- ...

- Management - BEML Limited:

- Yeah-yeah, for me absolutely it's not a concern. 20%, 18% is very healthy. In fact, even if we maintain it at a 20%, we'll be very happy.

- Participant Question:

- Sir, last question from my end. From exports side over next three years, how do you see in terms of...

- Management - BEML Limited:

- You see we have set a very ambitious export target. Our ambitious export target, it talks about at least 10% revenue from the physical exports. That is what our internal plan is. This year we have done pretty well. What are our total export numbers?

- Speaker:

- Sir, 12,153 crores.

- Management - BEML Limited:

- So, already 25% the total export turnover which also includes the deemed export. Now, what I'm talking about is the physical export. The physical export for the numbers to reach 1000 crore, to reach 10% of the turnover, so we are looking at some big ticket projects outside the country mostly in defense and in Rail Metro. So, once that happens then definitely we will be able to reach a number of 10% of revenue as physical exports and the mining and construction equipment will keep on giving the baseline for the export revenue.

- So, we are pretty confident that this year also we do well. Last year we did pretty well in exports, year before that we did pretty well in exports in as far as physical exports is concerned. Total exports, definitely. It has been a quantum jump for us in FY22-23 as well as FY23-24. So, FY24-25 may not see a quantum jump in the overall exports but the physical exports will definitely see a jump and slowly we are moving towards, you know, the physical exports in all the three business verticals, in all the three core areas for us so that it is able to contribute around 10% to the company's topline.

17- Moderator:

- We will take one last question.

- Participant Question:

- Yeah. So, just could you give orderbook breakup for Rail and Metro, Defence and Mining and Constr

uction as on 31st March?

- Management - BEML Limited:

- I think that is already there in our presentation, Sasi?

- Mr. Sasi Kumar – Dy. General Manager (Finance), BEML Limited:

- Already in our website we have uploaded.

- Management - BEML Limited:

- Yes, you can share that.

- Mr. Sasi Kumar – Dy. General Manager (Finance), BEML Limited:

- Yes sir.

- Participant Question:

- And intake also is it there? Intake breakup if you could share? Order intake.

- Management - BEML Limited:

- Order intake breakup I have already spoken during my media interactions. I've talked about the opportunity size. I will just repeat it for your ready reference. Rail Metro, we look at the opportunity size of 58,000 crore, in Defence...

- Participant Question:

- No, Sir, FY24 how it has been FY24?

- Management - BEML Limited:

- You're interested in FY24? FY24 we have to look into that.

18- Participant Question:

- Orderbook, yeah.

- Management - BEML Limited:

- Yeah, the order inflow.

- Participant Question:

- Inflow. Sir, the closing orderbook is 1600 crores in Rail and Metro? Sorry, in...

- Management - BEML Limited:

- No, you talk about orderbook inflow.

- Participant Question:

- Inflow.

- Management - BEML Limited:

- Inflow, majority has been in Metro; Rail and Metro.

- Speaker:

- Yeah, I'll take care of the information provided.

- Participant Question:

- Sir, on the Defence side we were expecting some programs on the overall on HMVs, in addition to that new ARVs and overhaul of ARVs. Where are we there? I mean in next FY25, FY26, FY27 what can we see in terms of business.

- Management - BEML Limited:

- I think my Director Defence here will take that.

- Mr. Srivastava - Director (Defence), BEML Limited:

- All the three things are on. Overall order book for Defence is Rs. 4800 crores. That is the order for the new ARV also and other contracts. We have kept lot of CapEx also for overhauling hangar we are making and we are getting orders now. We already made a 19few equipment which is under contract, for other equipment order is shortly going to be concluded.

- Participant Question:

- Sir, orders are already out as far as new HMVs are concerned. 2 RFIs, if I am not wrong, were already out worth 4000 crores. So, any progress there?

- Mr. Srivastava - Director (Defence), BEML Limited:

- Orders will be coming shortly, we're getting ready to manufacture that. That's a very big number. We have to compete and get that. So, we are working on that.

- Participant Question:

- Who will be our competitors there?

- Mr. Srivastava - Director (Defence), BEML Limited:

- Actually, in nutshell, if we look at HMVs I work with a different kind of equipment altogether. So, the question is that somebody is coming in the market making a normal truck where I got articulated truck, which is certain exclusive platform. Army definitely comes to us. So, there's no competition as Army has to determine which kind of equipment they have to go for. So, that is something that we are trying to convince them that it's a different truck altogether.

- Participant Question:

- So, that in that case it will be a nominated order?

- Mr. Srivastava - Director (Defence), BEML Limited:

- We are working on that. Let us hope.

- Management - BEML Limited:

- No, it will not be nominated order. We don't get any nominated orders from anybody. It is all competition.

- Participant Question:

- Because if I look at your Defence portfolio, most of the things you have only done for Armed Forces.

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- Management - BEML Limited:

- We have done because we have developed those capabilities. So, it's not nomination. It's

a single qualified bidder. There's a difference. Single qualified bidder or nomination basis there's a huge difference. So, we are there, for example, for Pinaka, we are the only license holder for

the platforms. So, there are four types of vehicles, four variants basically in each regiment and for all four we are the only platform license holders. So, calling it nomination is not correct.

- Participant Question:

- Okay. Sir, HMT has been through a competition?

- Management - BEML Limited:

- HMT we have competition because, competition in the sense that somebody is offering for example Maruti, we are offering Mercedes. So, if you see competition that way, there is competition.

- And another thing I wanted to just add here is that you see if you look at the acquisition of the Army or the land systems, it takes a lot of time. 2 years, 3 years and then there will be FOPM and then bulk production clearance. That is one of the reasons we have created this Maritime Strategic Business Unit which will specifically focus on Navy, on the commercial maritime, on Coast Guard because there it is faster and already even before coming out with the SBUs formally, we have started interacting with the Navy for over the last six months and a lot of things have happened and maybe very shortly you will hear some new announcements for the Navy and for the Maritime sector. Lot of things have happened and things will happen faster.

- Participant Question:

- Sir, but if we look at Defence, we are going to Aerospace also.

- Participant Question:

- Can you please outline the opportunity size.

- Management - BEML Limited:

- 58,000 crores Rail and Metro, 6000 crores for Defence and Aerospace and 3000 crores for Mining. This mining is not only mining, it is construction as well. So, as I said, 1000 crores is for the construction itself; there is a visibility for us. But as Director Defence was talking about Aerospace, aerospace is one area wherein we had till now been doing only structures and other things and now we are getting to the mainstream of that and that is a huge, huge business opportunity for us. The opportunity size in Aerospace itself will be around, I think, more than 8000-9000 crores for us in the next 2-3 years.

- Participant Question:

- Sir, some example in Aerospace?

- Management - BEML Limited:

- In Aerospace, you know, the ISRO projects. Aerospace is the Air Force projects like the light utility helicopter, right, like the missile projects for the Air Force. They have Aerospace projects.

- Participant Question:

- Sir, one last question I would like to ask. If we see the quarterly performance, Q1 is always low and then it gradually picks up in Q4. So, what's the seasonality in the business? Why is that so?

- Management - BEML Limited:

- No, I didn't understand your question. Seasonality is like that only because the orders actually start flowing in not evenly. If you look at the Mining sector where the turnaround time is very less, the orders generally start flowing in from the third quarter. That is one

of the reasons. Now, once we are able to shift or tilt the balance towards Rail and Metro and Defence and with the right execution strategy, probably, we'll be in a position to balance it out better and that is better for the cashflow for the company, you know, to even out the performance in each of the quarters.

- Honestly, if you ask me, I would like to have 15% of the turnover in the first quarter, the second quarter should contribute around 30%, and the 3rd and 4th quarter should contribute around 55%. That is the ideal situation but this world is not ideal. So, here also we are trying to make it that way but how much will be able to succeed I really don't know.

- One thing we forgot, you know, when we start we should have had an introduction. So, unfortunately, we did not do that and some of you probably were stuck in traffic. So, my Director Finance - Mr. Jerath is there, Mr. Sasi Kumar- our Executive Director Finance, Mr. Chandra Shekar Singh, he's a Zonal Head, looking after the entire Northwest Zone. He sits at Nag

pur and he controls a large chunk of the Western operations and the Northern 22 operations. Mr. Srivastava is our Director Defence and Mr. Tapash Talukdar is our Head of Corporate Communications.

- Participant Question:

- Sir, if I may make a comment and it's not a question but the kind of dynamism we have seen in BEML in particular in many PSU for the last 2-3 years and the way you have articulated the story, the way you have executed it, the way you have kind of highlighted to investors and other internal stakeholders has been remarkable. I just wanted to congratulate you on that. It's really remarkable the way the story you have woven. It's just when we meet private sector companies, public sector companies, earlier it used to feel as if the private sector companies were the dynamic ones but now even the private sector companies are racing to try and keep pace with many companies such as BEML and it's really remarkable what has been done at BEML in particular.

- Management - BEML Limited:

- I would just like to add something that the private sector had always been complaining that it is not a level playing field. Now, it is the other way around. The level playing field is not there for the PSUs because we have the global tender exemption approval, restriction in imports, we have the restriction in procuring from the MSMEs, we have the mandate to go through GeM portal only. So, these things are not there for the private sector. So, how it can be a level playing field? In fact, we are now requesting the government to create a level playing field so that the public sectors can compete...

- Participant Question:

- Even more effective.

- Management - BEML Limited:

- More effective.

- Participant Question:

- It is remarkable what you have done.

- Management:

- Thank you.

- Management - BEML Limited:

23- We get payment in 90 days or 120 days from the government.

- Participant Question:

- Still, Sir, the way you have managed the company and been so competitive not just in India but in global. It is remarkable, so thank you very much.

- Management - BEML Limited:

- That is what our goal is.

- Participant Question:

- Sir, can you plan our visit to your Metro factory because we would like to understand...

- Management - BEML Limited:

- It was actually long overdue. During our last Investor Meet we had promised to do somewhere in the month of February but then things didn't work out. But, Tapas, now there's a lean period, so before we end our first quarter within the month of June if you can plan something, please do.

- Mr. Tapash Talukdar - Head of Communications, BEML Limited:

- Sure.

- Management - BEML Limited:

- It can be a 2-day program and I would suggest that you visit our Metro factory as well as you visit our Engine division. So, keep 2 days for it.

- Participant Question:

- Sure, Sir, because that will improve our understanding and confidence on the prospects of the company.

- Management - BEML Limited:

- Absolutely because seeing is believing. Whatever I've said is mere words.

- Participant Question:

- Absolutely.

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- Participant Question:

- Sir, thank you very much.

- Participant Question:

- Thank you sir.

- Management - BEML Limited:

- You are the organizer of this, you were asking me so many questions.

- Participant Question:

- Yeah, I thought I will fill up the time.

- Management - BEML Limited:

- Thank you all of you.

(Discussion amongst members)

END OF TRANSCRIPT

Call: Jun 2025

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SN A s TIBEML 1047 10 2047 BEML LIMITED

Schedule 'A' Company under Ministry of Defence, Govt. of India

Defence & Aerospace | Mining & Construction | Rail & Metro

Ref: CS/SE/628 Date: 23.06.2025

National Stock Exchange of India Ltd. The BSE Limited

Listing Compliance Department Listing Compliance Department

Exchange Plaza, Bandra - Kurla Complex, | P.J. Towers, 26th Floor,

Bandra (East), Dalal Street,

MUMBAI - 400 051 MUMBAI —400 001

Symbol: BEML Scrip Code: 500048

Dear Sir / Madam,

Sub: Transcript of Analysts / Investors meet - under Regulation 30 of SEBI (LODR)

Regulations 2015 — Reg.

Ref: (i) Our letter CS/SEs/ 625 dated 10.06.2025.

(i) Our letter CS/SEs/ 627 dated 16.06.2025.

Please find below the Transcript of Analyst meet hosted by M/s Elara Capital on

Monday, the 16th June, 2025, at Mumbai. The same is also made available on the

Company's website at below mentioned link.

<https://www.bemlindia.in/investors/>

Thanking you.

Yours faithfully

For BEML LIMITED

Urmi Chaudhury

Company Secretary & Compliance officer

ICSI Mem No.: 29400

Place: Bengaluru

{;

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BEML Group Meeting Transcript

BEML CMD Shri Shantanu Roy : | along with Board members welcome you all.

Shantanu Roy: Let me start with our order book doubling guidance. The order book doubling guidance comes from the fact that there are several tenders for which we have already participated, and which are going to be finalized in the current financial year. More so in the Rail and metro and in Defense and Mining. Of course, it is cyclical every year. So the guidance of 20% comes from mining, 20% from defense, which may go up considering the current situation. And in real, it should be around 60% number two, as far as the top line is concerned in FY25, there were certain headwinds, because of which we could not achieve the aspiration, but in spite of that, we have held our ground more so because we are diversified, and when Rail could not perform, Mining has come up. So those projects are going to be executed this year also. This year we will start the execution of the Bangalore Metro which we are supposed to execute, to deliver 20 metro trains to Bangalore Metro. In the defense, we already have a order for the high mobility platforms more than 1,500 crore which we have to execute in the current financial year, plus, we are expecting some more orders which we have to execute under the emergency procurement. So considering all this definitely, a 20% CAGR growth is very much achievable. On the margins, my guidance is not 50 basis points. My guidance is 150 basis points in EBITDA over last year's number. So if you look at the EBITDA graph from 5% to 7.7 % 10 9.2% ; 9.2 % to 11.9 %; 11.9 to 13.2%. Last year my guidance was 100 bps. We did more than the guidance. And this year, considering a 20% CAGR. Considering the order mix and the product mix that we have more in Commuter rail, more in high end mining, more in defense in terms of the systems. One of the major shifts in our strategy is from high mobility, vehicle platforms to the systems. For example, the mechanical minefield marking equipment is a complete system. We are executing the order, the command post vehicle as a complete system. We are executing the order, and we'll be doing more and more of that in the coming years. Plus our focus on the sustenance business last year. One of the major reasons. There were 2 major reasons for the better margins. Number one was reduction in material cost by 2% and number 2 was the contribution of sustenance to the overall top line. The sustenance business contr

ibuted around 26% to the top line. So this year, sustenance will again add to the top line and to the bottom line. That's the reason I'm pretty confident that 150 basis point EBITDA should be achievable. Okay, sustenance is Spares and services. So you see, in sustenance, what happened is initially, when we created the SBUs, we did with only one SBU for sustenance, which was for mining and for defense. Then somewhere last year, we created another SBU, the 12th SBU was a sustenance. Now this year we are further going to break down the SBU of Mining and Defense into 2 SBUs. The idea is the real sustenance. There is a huge market not only for BEML supplied fleet, but also the fleet which has been supplied by others. Second is, our focus is on growing our sustenance business in the exports as far as mining is concerned. Last year the mining sustenance business grew by 6%. But the defense sustenance business grew by 50%. And with the fleet size that is there with the Indian army, we have 9,000 HMVs, out of which around 50% is non euro. So non euro to euro conversion, then upgradation or overhauling of euro HMVs and next is the Armoured Recovery vehicle overhauling. These 3 businesses will drive the defense sustenance in terms of the spares in terms of the overall fleet maintenance. So that's how we are trying to, reorient the organization. Ultimate aim is to see to it that sustenance contributes more than 30% to the top line, and anything where sustenance is added. In terms of, you know, incremental revenue gain, also it adds to the bottom line.

Analyst : If I understand correctly the timing for this short cycle order in terms of what gives you the confidence

Shantanu Roy: No, I said, no, the order book that we are expecting in 2026, Mining will contribute around 20% to it. If you look at 20% of the total order, and if you look at FY25, the contribution of mining was 54%, which has gone up significantly. And one of the major reasons was that since Rail was not able to perform, we had to ramp up Defense as well as Mining. So Defense saw phenomenal growth of around 40% with the contributions increasing from 19% to 27%. And mining saw a contribution growth of 11%. If you look at the long term perspective, even 2025-26, the expectation is mining will be around 40% and Defense plus Rail and Metro will contribute around 60%.

Analyst : Is it safe to say that 20th also.

Shantanu Roy: we will not end the year at Rs. 28,000 crores order book. We will end the year at around Rs 22,000, Rs 23,000 Crs, because had an order in-flow of around Rs 6,800 crores, which was a growth of around 28% as compared to FY24. This year we expect to have at least a double or little more than double ordering flow as compared to FY24 in FY 25.

Analyst : is that right? 20% mining, 20% defense, 60%

Shantanu Roy : Rail and Metro can be a little bit more. Also, defense can be a little bit more also because we are now expecting some emergency procurement orders which will be there with us in another couple of months from now, so we can expect a little bit more contribution of Defense in the 25-26 Order book.

Analyst :where was the Bangalore Metro?

Shantanu Roy: Bangalore Metro was never supposed to be delivered in FY25. It was always supposed to be delivered this year only, FY25. We were supposed to deliver the Vande Bharat. Since the testing and the CCRS inspection of the 1st prototype have not been completed, we could not deliver the balance 9 trains, but the car body shells are already ready for all 10, and this year, July onwards, we can start delivering the balance Trains. Apart from that we will be delivering some Catenary maintenance vehicles also. Some numbers we have already planned. Apart from that, we can expect some orders for the Link Hoffman Bosch trains, and out of which some numbers we'll have to execute in the current financial year. Our Director Rail and Metro, Mr. Rajiv Kumar Gupta, can throw some further

light on this, Gupta?

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Mr Rajiv Gupta: Starting July onwards, we will deliver all these trains by the end of this year by December. That is what we are looking forward to? Because already the 1st train has been inspected in April, it has got all the clearances, and now it is only awaiting the clearances where it is going to be allotted to run. The train is already in. Maybe any day it can be announced where it is going to be run, because it is the 1st sleeper train of one. They are also taking some time to decide where they want to run it. Apart from that, we are expecting some orders for the LHB coaches out of which, something like 150 numbers we want to deliver this year. So that is another thing which we have to do. And we will be starting the delivery of Metro by September, October trains will go. We have plans to send around 20 train sets this financial year, so that will be another advantage. That adds revenue for rail and metro sector. So if you put all these together it'll be a significant jump from the last time at least more than double what we did last year. To add to this, I have not mentioned, you know the order book guidance. We have not considered MRVC. That which the tender got discharged in March 24, now in the next 2 months, the tender is expected to be floated. It is 2856 cars, to be precise. It is for Mumbai. The ticket size itself will be more than Rs 30,000 crores. So, I've not considered MRVC at all if it comes this year fine, but in all probability, it should go on to next year. We have a capacity of maximum we have done in a year is 277, on an average of 200.

The Bangalore facility, which will be operational by November, December. This new facility will add around 150 more to our capacity. The new facility at Bhopal in a phased manner. We want to go up to a total capacity of around 700 to 800 cars per annum. Let me give you a perspective about the current orders on hand. Now, 930 cars are on the road. We expect some orders for the track machines. The rail borne maintenance vehicles. To be precise, LHB. Also MRVC requirement, as and when it comes. Then there is the new Metro. 168 cars for Chennai.. Mumbai line 9 and 5. Already we have bid for multiple cities. These 4 cities require 96 trains, out of which, tender is out only for 8 trains. Next phase is 400 cars already approved by the cabinet. Andhra Pradesh has announced the tenders for setting up Metro. Chhattisgarh is going to come out with a metro plan very shortly. MP is going to come out with enhanced plans for Metro. Hyderabad is going for expansion of the existing metro lines. Kochi is going for expansion of the existing metro lines. RRTS are not considered at all which is going to come, and this time we'll be in RRTS as well. So, this facility at Bhopal and Bangalore both put together 700 to 800 cars per annum is the full capacity that we will be able to deliver in coming 2 to 3 years' time. By that time these orders like MRVC, RRTS, everything will be finalized....

Analyst : right? So that is the

Shantanu Roy : Future perspective as far as the Metro is concerned, and I have not spoken about high speed. The 2 high speed trains. December 26, we can expect some more orders for high speed trains and the next development will be the aluminium trains, which is still in the drawing board. But we will start working on the aluminium technology.

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Analyst: Average utilization What will the spectrum in the bandage? Because windows could possibly be tempo per host as such.

Shantanu Roy: It's more than that, because now with every metro there is a 15 years maintenance. With every commuter rail there is a 35 years maintenance right? So there is a thumb rule. If it's a 35 year maintenance the base price into 2.04 straight away plus the execution timeline. Current order backlog that we have, we have to execute in the coming 3 years, Max. Next 3 years, at least at an average of 300 cars. If we add high speed, if we

add

the LHB we need more capacity and the new orders that will come. Suppose any order that comes this year, 2 years down the line. These days, the timeline is being reduced. For example, Mumbai is asking for the 1st proto in 64 weeks Bangalore went to 96 weeks earlier. It used to be 2 years. From there, it is squeezed to 64 weeks. So any new metro which comes there will be a reduced timeline for delivering the 1st prototype as well. This will be a flexible thing but for railway numbers, yes, railway, metro, plus any exports which can be standard gauge, broad gauge, Cape gauge, steel, aluminium, and size varies from 18 meter to 23 meters. Then technology. It can be Mag, tick and spot welding. It can be laser also. So right now, we already have Mag and spot welding. For high speed we are bringing in laser technology all robotic for aluminium we may have to go for friction stuff. Design is ours. There is no design. There was no design available for the sleeper, so it's a clean sheet design. Even the high speed train is a clean sheet design. the employee expenses should come down to around 17%. That is a challenge we have. So let's try to see how that works.

Analyst: What about the capex?

Shantanu Roy: Rs 200 crores last year itself we have spent. There was a time we used to spend 50 crores 3 years back. Now we are spending 200 Crores this year. We are supposed to spend around 600 crores. If you spend around only 200, then these kinds of capacities will take us years to build, and we cannot afford. Otherwise, we'll not be able to deliver unless we invest in Capex. But it is not only important to invest in Capex, but overall invest in capability, and that will come once we have the latest technologies and the people to manage technologies. So the talent on boarding and talent retention is one of our key areas of concern more so because almost 20% of our work force is going to superannuate or going to separate from us. Already that process has started. So, we have to not only fill those gaps, but also fill in the skill sets. IoT enabled machines, machining centers. And now, when we talk about robotic laser welding machines, we need trained operators, we need people who can operate CNC machines who can operate, who have the knowledge of tooling. Tooling is very critical for us. So our focus is on strengthening our manufacturing by having more people who can design a tool, who can design jigs, fixtures right? Otherwise, just bringing the machines will not serve the purpose. So that is how our aim is to improve efficiency as well. Currently the turnover for employees is around Rs 76 lakhs. It has been in that range only more or less, because the top line has been flat, more or less. The aim is to first cross one crore per employee and then come at optimum level of around Rs 1.5 cr per employee. So the idea is not to, you know, on board talent just like that. We are doing it in a graded manner. Last 2 years. We have on boarded almost 500 to 600 people, and in the next one and a half years we are going to on board around 600 more, 600 more in terms of you know, the working level, the workmen category literal recruitments for, especially if we want to grow in the maritime. If you want to grow in the aerospace, if you want to go in as a systems integrator for defense and high speed train

aluminum technology, definitely, we need people who can support us in this. So, all our recruitments are focused on keeping these futuristic requirements. In case of inventory conversion to cash. Let me explain to you, one is inventory, the other the receivables, right? So, we have to bring down the working capital. There is no doubt about it. The aim is to bring it down by at least 15%. Now, if you talk about the inventory we are focusing on an inventory which is more than one year to 3 years, and to make it 0 in the coming 1, 1 and a half years. That is one of our major priority areas on the receivable side, yo

u see. It's accounting principle.

We can't help it that as soon as | invoice, the entire amount becomes a receivable. So last quarter, we did the maximum sales, and even though, it is not collectable immediately, it has become a receivable. That's the reason it is looking so high. Otherwise, my actual collectible is not that much. It is hardly maybe 65% of that which is collectible correct. So we have to live with that accounting principles, accounting policy.

Analyst: Will the Inventory become 0?

Shantanu Roy: No, it will not be, | did not say it will be 0. We are not in the JIT world. And as a PSU, we cannot work on JIT concept. Any private sector automobile company can probably work on that concept, because here we have diversity of products. Most of them are custom made, every metro project is custom made, every rail project is a custom made, every high speed project will be custom made. Every defense product is a custom made even the HMs. For Akash it will be different. For Swati it will be different. It will be different because of the different payloads and other things. So we cannot have a JIT concept. Let us be very clear. What | meant was that any inventory more than one year, 2, 3 years, or beyond that, we are trying to make it 0. It cannot be 0. The overall limit can never be. 0 number of days is, you know, aspiration is 90 days, which is again very difficult for us. We have certain long lead items. Many items are long lead items especially in a metro or in commuter rail. The propulsion is a long lead item. The brake is a long lead item, the catenary maintenance vehicle, the brake. The engine is 12 months delivery.

Shantanu Roy: Yes, | mean, that is what we aspire to it. But I'm very clear that at least in the coming 2 years or so we are not going to achieve that number 30 works which is around 160. So the 1st step is to bring down from 160 to around 130, and that itself will be a herculean task. For us it is mainly in mining. But it will be all through. One of the major reasons of high inventory last year was, we had all the material for Vande Bharat but could not convert it to sales. So we were having the entire car body available with us as a WIP, as a semi-finished.

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Analyst: So it goes into the inventory, the laser kind of technology that you mean. Just curious that we don't need to talk of, etc whether it's payload, whether it's recoil vibration, whatever you need, some more either material related, you know, ability to forward monopoly or ability to probably have certain other capabilities that you may find currently lying that you may need to spend on one of the major challenges in the country is the forging.

Shantanu Roy: Of forging. We are not into forging. We need good industry partners who can give us the right quality of forging at the right time. Unfortunately, it is one of the major challenges for the country. We have to import lot of forgings. We are dependent on the foreign companies for the forgings for the Train sets. Even the railway have to go right so. But forging is a major challenge for the country, whether it is defense, whether it is rail and metro, whether it is mining. Number 2 challenge is castings. Someone like Lucchini or Bonotrans have their complete lines joked. The quality of the casting is very important, and unfortunately, you know, a lot of players have emerged in the market. But the quality of casting definitely is a major challenge for us. especially, you know, for some of our flagship programs like the engine programs. It's a casting which is killing us literally, the quality of the castings. Because when you go for high end engines, what happens is there are very tight margins. As far as the machining is concerned and when you have tight margins, then the casting has to be very correct. Otherwise, what happens is during machining you know, there will be breakages and if there are any breakages in the castings, then the program is

stuck. And that is what is

happening So these are some 2, 3 areas. But definitely, we are facing challenges in terms of the capability. One is as the industry partner. Availability is concerned, we have to ramp up in terms of the quality in terms of the deliverables. Second is on the human capital. We have on boarded a lot of talent from the premium institutions, and they are mostly being put in digital transformation or in futuristic product innovation center. And now, with the central research facility coming up where we have at IIT Madras, we have already posted 2 of our people, and we are already evaluating, some 4 or 5 projects which | think in IIT Madras at their center of excellence. The Incubation Center has developed and we are exploring. We are evaluating whether we can commercialize that because we need to fund those. We are also very shortly going to hire more. You know, level one or tier one Academic institutions who are into technology, who are into material science metallurgy is going to be very, very important for

the country, for us, because the future is all right power to weight ratio use of more and more composites in defense. Standard 4 standard 5 level with bare minimum increase in weight. So these are the challenges in front of the industry in front of us. Yes, last year FY25 was a watershed moment for us in Defense. The growth was 40% this year. The orders that we have in hand, if you're able to execute 100%, will see more than doubling of the Defense turnover in FY26, and that is a major challenge for us, more so, because we have indigenized now to more than 95%, even the 12 by 12, which we used to import the CKDs and just assemble. We have rolled out the 1st 12 by 12 it has undergone trials. Now it is going to be fitted with the strategic missile system for which it is required. The second vehicle, we are going to roll out shortly now. This has been a big challenge for us in developing the supply chain in the country

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for critical aggregates like the cabin. And now we are looking at multiple options, and as a couple of months, you know, we will be on boarding some more good players, high end players, and with that we'll be able to mitigate this challenge. The critical aggregates, in these are the cabin, the furnishing inside the cabin, the backbone tube, the excel we are doing in house, the backbone tool we are doing in house, the chassis. We have outsourced the cabin. We have outsourced. Now we are planning to partly do the insourcing for the cabin, as far as the furnishing is concerned, getting the shelf from outside and doing the furnishing ourselves based on our capabilities in the Metro and Red, wherein we do the entire furnishing in house. Analyst : What about the Capex and how you are going to fund the same

Shantanu Roy : Rs 220 crores we spent last year. As of now we have not thought of any debt for our existing facilities. But yes, for the Bhopal plan, we are definitely looking at the partners who can do the debt funding. Already some financial institutions, some PSU banks have also shown lot of interest in funding it. And we'll soon be finalizing. We are in the process of making a DPR. Detailed project report will be ready in another 2 months, 3 months time, and then we will decide how much Capex to go through.

Analyst : What is the Capex number total planned.

Shantanu Roy: Capex planned is 1800 crores, but that will be in 5 phases. The 1st phase will be around 225 crores. The idea is to start rolling out the trains from there at the earliest, within 12 to 14 months, so that the cash flow is positive it starts becoming positive.

Analyst: And what will be the capacity?

Shantanu Roy: 1st phase should be around 150 cars second phase should be around 450 from Bhopal, and 300 from Bangalore, so 750 in total. But this 450 will be in 5 phases, I mean, for example, one of the lines, we will keep a provision for different kind of technology if it happens

so0, we'll be working on 3 lines, 3 phases, 3 lines So one line, we'll keep a provision. We'll not invest.

Analyst : Receivables is high.

Shantanu Roy: You know, Cash turn around time in mining is faster. What happens in defense is once we start delivering, then, there is a lot of support a lot of push from the ministry itself, because there is a budget to be spent in a particular year. So we do a decent cash collection from defense when it comes to the end of the year. So we are not very much bothered about the Defense Cash Collection. The major cash collection effort is required in the metro segment. Payment is done on a time to time basis based on milestones. Yes, the challenge is when it comes to Metro. I would say when we are going to complete the project, 10%, 15% of the money is withheld on account of the final performance or the end of the warranty period. So that is a delayed cash which comes to us. So that is a challenge for us. Otherwise, mining, very fast moving. metro, little bit less as compared to mining. Railway is also on the same lines For example, in Metro generally it is like the warranty starts from the deliver of the last train %

set, so if the delivery of the last train set is 4 years out of the contract, so my warranty goes up to 6 years from the date of the contract from the 1st supplies. So that's a challenge. Metro. In fact, you know, I don't think we have been able to. Maybe we have been able to close one or 2 contracts till now. So actually, we have been after the Ministry of Housing and urban Affairs and metro corporations, to change the way the contracting is done, otherwise it is very difficult to close the project. Like in a power plant, the customer holds payments till the end, last 10%, 15% is very difficult to realize. So here also we have to push and keep on pursuing. Keep on working, on removing the glitches as per the contract and many of the things is not dependent on us. For example, something can be dependent on the signaling contractor. Something is dependent on the site availability. These are the challenges.

Analyst : What are the challenges in forging and casting?

Shantanu Roy : Currently casting? We have a lot of partners in India. Only challenge is the quality and the deliverability. Forging. These are private sector. Unfortunately, I cannot name them. You will be knowing them. I'm sure you'll be knowing them. As far as things are concerned. There are very few companies in India hardly, maybe one or 2 who can give, you know, high quality castings. But in Metro vertical, where passenger safety is most important and where the wheel is a forged wheel, we cannot compromise on quality. We have to go with

a certain level of quality.

Analyst: What about reducing the Employee cost

Shantanu Roy: As already told, we are looking for somewhere 17 to 18%. It's a challenging one. At the same time we need more people, but with the increase of turnover, we will bring down the employee cost in percentage terms. Around 17%, with the increased wage cost, it has to be around that minimum, we cannot afford to increase it. Achieving 17% is a big challenge.

Analyst: Majority of Delta will come from, you know, reduction in material cost, optimizing the design and for your review guidance. Now you are confident that the issue with the train sets when they were behind what was in place in FY25.

Shantanu Roy : | already said so.

Analyst: Whatever you think is likely to be available. You mentioned that 1, 2, 3 years, one to just who should we be carrying on post. So if you were to say that, you know, write off and write back some of those inventory because | think maybe the one to 3 basis point. Margin improvement, we are saying is also as well.

Shantanu Roy: No, no, we are. We are not thinking of writing off anything. What | mentioned was that, when we look at the inventory there are 2 ways of classification. One is the ABC classification in terms of the valu

e of the material. The other is the age wise classification. So

I'm talking about the age wise classification that anything beyond one year. So 1, 2, 3 years is the majority of the chunk of the inventory. So we have to use that material. We are not saying 8

we'll write off. Will do the best possible manner, so that the total outstanding we'll reduce our inventory. We could not dispatch last year inventory. Still, we are holding. So once we dispatch, and consume old inventory, we can achieve reduction. Once we start delivering the 20 train sets, definitely inventory will come down. If you look at the exact numbers, | think more than one year is around 500crs. The intent is to make it 0. Overall inventory can never be consumed. That is more than one year, so some portion is in finished goods.

Analyst: Do we have a split right now?

Shantanu Roy: | don't have a split right now. | don't have the definite figure. We have the numbers. We monitor it based on that because a lot of our pricing is on cost basis or we pass on. You see, pricing is a strategy. Cost is a reality. If the market is ready to give me X100. I'll take 105. If the market is ready to give me %90, | cannot put 100, and expect to get the order. The idea is to get the order at 90 and then make profit on that. So, what | was trying to say is 150 basis point margin improvement will come from the top line, number 2 from the product mix number, 3 from reduction in material cost and number 4 from the enhanced in contribution of systems. It's a very conservative number. 87% of the orders are accomplished through competition. Competition is well known. If you talk about mining, it is caterpillar, it is komatsu. It is tata hitachi. Some cases Chinese companies. If it is Metro, it is Alstom, bombardier. In some cases it is Caff. In defense the line of business that we are in, we have Mahindra, we have Bharat forge. For 2 new businesses, aerospace and maritime, the proposition is number one to work on the indigenization of critical aggregates which are being imported by the Navy number 2 work on critical resource for any port operation, and with 2 Mega ports and 12 minor ports coming up, it's all the more important that we indigenize this particular component, which is again huge. Number 3 is introduction of the indigenous cutter Section dredger. Currently all the cutter suction dredgers are being imported. All the players are either European or Chinese, so we have recently bid for one tender for 12 numbers of cutter suction dredger. We have prospective 2 partners. Now. One is back *o Italy, the ctheris Worcester Netherlands. They have different lengths, and we'll be buying different segments for the construction. There is also a huge requirement by the hydro power plants for enhancing the efficiency because of siltation. There is a lot of bridging which is required on an average, 6 dredgers are required for each power plant. So that is a huge business. We are working with NHPC. The smaller cutter suction dredgers, are around 8 to 10 crores, and the larger cutter section razors are around 25 crores. I'd be happy if somebody is able to give at Rs 50-60 lakhs, because these are cutter suction dredgers. The maintenance dredgers, you must be talking about.

Analyst: Only the muck removal I'm talking about.

Shantanu Roy: This is the cutter suction dredger. So basically, the muck has to be cut and then it has to be removed. So Disiltation is like that, and nobody in India manufactures. It's all imported either from Germany or from other countries. Then the next is the marine propulsion. The marine engines, okay, the entire fleet is currently imported. So it's again a 7

long term proposition, and it will take some time to create a marine engine, Indian marine engine, and we don't want to reinvent the wheel. So we are trying for a tie up for technology, tie up with some foreign OEM in the marine engines. Apart from that, we are working on crit

ical aggregates for the submarines as well. You see, there are 2 things. One is the criticality in terms of the operations. Number 2, the criticality in terms of the volume. So right now, I cannot comment on the volume. Our focus is on removing the challenges on account of imports. At the same time creating an ecosystem where we will then work on the volumes.

Analyst: This is nice, so if I look at like 30,000.

Shantanu Roy: You see, again, it's different. Metro will be a different number. Let's say MRVC will be different number. LHB, will be a different number. If we export, it will be a different number. So on average, right now, I'm having order book of 930 cars.

Analyst: When it comes to RRTS it will be different, much different, right? The numbers are already known. It's a 6.5crs for Metro car, so balance break up not available.

Shantanu Roy: Correct. RRTS, I don't know the numbers right now. Projection is there? But per car number will be around, say, 8, 10 crores. More than that. If you take into consideration like maintenance, also, just multiply it by 2.04. If it is 35 years. MRVC, I've already given a number. I've given a number of around 30,000 crores. It will be around 30, 35 depends. It's all competitive business, correct, absolutely. We have to. Defence vertical will fire in this year, Armoured, and the 3rd is Engine. Because there are some emergency orders. We've already received some orders for the engines and there will be some more in the pipeline.

Procurement for the engines are different. So in an ideal scenario, we could potentially touch more than 6,000 crores. The idea is that 20% increase should be pretty safe. I mean, we should do 20% more this year. If we are able to increase, I will be very happy, and all investors will be very happy. All all shareholders will be very happy. Then. You know, the EBITDA guidance will also get a positive impact and then we'll not bother even if the working capital goes up a little bit. It doesn't matter at all.

Analyst: Can you hold one Investor meet every quarter.

Shantanu Roy: One conference within December. We are having one in June now, one in December, in between also, as and when there is a request. I always, you know, have a conversation, either, virtually, and if somebody wants to come over to Bangalore most welcome. That's just something that we need to do. So if you want, we can do this on a quarterly basis. But generally, what happens is after every quarter, I have 2, 3 media interactions.

Thank you

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Ref: CS/SE/ 715 Date: 19.12.2025

Dear Sir / Madam,

Please find below the Transcript of Analyst meet hosted by M/s Elara Capital on Friday , the 12th December , 2025 , at Mumbai. The same is also made available on the Company's website at below mentioned link .

Thanking you.
Yours faithfully
For BEML LIMITED

Harshit Kapadia: Yeah, hi, good afternoon, everyone. Thank you all for coming, and we'd like to thank BEML management for giving us an opportunity to host this meeting, and we also have a lot of participants joining online. We know the BEML team and the management very well, so we'll just, without wasting time, will start, and if anybody has any questions, please introduce yourself before asking the questions.

Management: If you look at the current order book, which is roughly Rs. 16,300 crores. 65% of it is made up of Rail and Metro, 30% Defense and maybe 5% mining. Mining, as we have in the past also, we have conveyed that it's a very fast Turnaround time product, except for some large and for some high-end mining equipment. Where, the manufacturing time cycle is more. Otherwise, it's the Rail and Metro and defense, which we'll be driving. In the next 3 years, the focus and key drivers will be the Rail and Metro vertical, the Defense and Aerospace vertical. Mining should remain flat, maybe a growth of 3 to 5% per annum. I don't see much opportunity size in mining beyond that. The best

thing about mining is that since it's a fast turnaround time, our cash, our sales turnover is taken care of, our baseline is taken care of. The challenge in mining is the changing acquisition model of Coal India. We are largely dependent on Coal India. From the departmental purchase to the MDO model. When it comes to the MDO model, the MDOs prefer not to invest in CapEx but in OpEx. And, rather than high-end mining equipment, they will go for lower-end mining equipment where we are not present. The second factor is that they would also sometimes prefer the second-hand equipment from the second hand market. To take care of these challenges, Coal India is also expected to come out with a long-term policy. A policy where they will have long-term contracts with MDOs 25-year contract. And they will also, you know, have provisions while keeping in mind the DGMS requirements and the throughput requirements, then the MDOs will also be able to go for high-end mining equipment under acquisition model.

That is one thing. Second is, if you look at the future of coal, there will be more focus on sustainable mining and green m

ining. And there are two things. One is even the open cast mine, rather than drilling, blasting & straight away going with surface miner. This is going to be the next thing, and there we have just entered into an agreement with Tesmec of Italy. And we'll be shortly looking at how to work with them in some of the tenders which are going to come up. Next is the continuous miner, because the underground mining from the current 25 million ton per annum production, it is envisaged 4 to 8 times jump in the next 5-6 years to 200 million ton. And continuous mining, we have been trying to find a partner.

Until now, we have not zeroed upon anybody, but shortly, we should be ready with a partner and ready to participate in the underground mechanized mining sector as well.

As far as the Rail and Metro and defense is concerned, from the current order book of Rs Rs. 16,300 Crs, we should end the year with Rs 20,000 Crs plus order book, and the bulk of it will come from the Rail and Metro. And, defense to some extent.

Let us have a look at how the Rail Metro sector behaves. FY24-25 Rail and Metro had a sudden dip, which I would call an aberration. From the 38% contribution, it went down to 19% contribution. Mainly because we didn't have the orders to execute. We had the orders, but the execution cycle had not yet started. So, the orders that we secured in 2022, 2023, 2024, now it is reaching that stage. For example, the Bangalore metro, which we unveiled yesterday, now it will go into bulk production. Maybe this month we'll supply another rake, the second train also. We'll try for the third train also, and in the current financial year, at least 8 to 10 trains. Next year, it will reach its... it will be even more. Total is more than 53 trains. With the, latest order for 42 cars, which we received. Next is the Chennai Metro. The Chennai metro will also be in the proto-rollout stage in the year 26-27. Then we have the Mumbai metro beyond 63 trains, which will also start giving us the revenue from 26-27, not in 25-26. So 26-27 will be, the financial year when 3 major metro projects. One major metro project will be reaching its peak, and two other metro projects will just begin to just start. Then FY27-28 will be there when 3 projects will go on parallel. And that's a huge number.

Similarly, for the commuter rail, currently we have the order for LHB coaches, we have the VB sleeper, we have the high-speed train proto order, plus some track machine orders. The VB sleeper execution majority will be done this year, and some spillover will go to the next financial year. LHB coaches, we are supposed to execute the entire lot by November next year, so we'll do a part of it, may be 20% in the current financial year, and 80% will go to the next year. So next year, we will see a quantum jump in the rail and metro revenue in absolute terms, as well as the percentage control

Same is with defense. So defense, if you have a look at the presentation, the mechanical minefield marking equipment, the self-propelled mine barrier, the command post vehicle, all this will come up for the bulk production. Mechanical minefield already has come up for bulk production, but next year we'll see all these three going for bulk production. And these are the systems. Basically, we have made a distinct shift from being only a high-mobility vehicle supplier to the complete system. For that reason, we have created another new SBU, which is the Strategic Systems. Apart from that, there are some more orders we'll be working for, but let us understand, in the defense sector, if a tender comes today, it will be at least 5 years by when the bulk production will start, because there will be some time for ordering. After the ordering, we have to design, develop and supply the equipment on NCNC basis. It has to undergo extensive field trials for almost 2 years, one and a half to two years. The reports bein

g submitted, and the price being opened, and after that, if so me bidder becomes successful, then there is a time period which is needed to start the bulk production.

So, the current order book of defense is, again, mostly the platform and some of these strategic systems which will come for bulk production in the next financial year. So, next financial year should

see a further uptake in the defense revenue. This year itself, we are expecting at least a 70% to 80% growth in the defense revenue. Last year, we almost doubled the defense revenue, the contribution of defense, in totality. So these two will be the growth drivers for the coming few years for the company.

Now, coming to the maritime crane, maritime crane is entirely a new area, but it is something which we are trying to build based on our existing competencies, that is in sheet metal, fabrication, and hydraulics and power line. So, in maritime crane, there are two types of cranes that we are looking for. One is the shipbuilding cranes, like the Goliath cranes, and second is the port operation cranes, like the ship-to-shore crane, and the other, Port handling equipment. Put together, there is a requirement of at least 50 ship-to-shore cranes per annum. And if we are able to fulfill that, this itself will give us a revenue of around 4,000 to 5,000 crore. Once this business gets going, it will take some time for this business to get going. We are going for a graded approach. We will try to work first with our existing facilities and, try to work out a model of contract manufacture, or a TOT. But eventually, we have to move to a location which has a waterfront and which has a port, because these cranes otherwise cannot be transported through road or rail which has to be transported through water. So, maybe 4 or 5 years down the line. This particular line will give 4,000 crore plus. That is how we envisage in the coming few years. And we can have large ones out there, and we have also around 20% of service revenue. A large part of that is mining. I'm talking about the 5% overall, on the mining vertical, including the service of equipment. If you are able to successfully enter the surface miner and the continuous miner segment. And number two, the overburden removal equipment that we are currently supplying to the coal sector, mostly. We are also focusing on enhancing our exports.

Revenue from these equipment, and there is a huge demand for such equipment from the Middle East, from the GCC region, from the Australian CIS countries, and the Asia Pacific. So we are focusing on these four regions, and of course, Africa.

The idea is to move away from the over-dependence on Coal India and its subsidiaries to a market where there will be a continuous availability of orders.

And which does not depend on the seasonality or the monsoon cycle. So, currently, basically, if you look at the trend of the revenue, the first two quarters are generally dull, and it gears up from the third quarter. Unfortunately, this year rains getting enhanced to October as well. Tendering activity itself has been delayed by the Coal India. And now, in the next couple of months, we will see a huge, gamut of tenders which have already been floated, they will be finalized. So the entire pressure comes to the Second half of the third quarter, as well as the entire fourth quarter.

So we are also trying to get away from this, so that we have a equitable distribution of revenue across all the four quarters, and this is possible, number one, by reducing over dependence on the coal industry in the country. Number two, have a very robust order book pipeline for the Rail and metro and for the defense, so that from day one, when a financial year starts, we can start delivering.

In terms of order by the larger operational, we are looking at some track equipment orders, some commuter rail orders. I cannot specify exactly. Currently, you know, be

ing at that stage, but next

year, already, there is a tender from Mumbai Rail Vikas Corporation, so it should take at least 6 months for that order to be finalized. And that is a huge order. The number is between 35,000 to 40,000 crore, including the maintenance.

And this year, we expect some of the orders, like the self-propelled mine burrier, the Trawl, these should be, you know, completed in this year. The order securing, at least. But many of the defense orders will go to the next year also. Like the gun towing vehicle, it will go to the next tier. The LaMV, the light armored multi-purpose vehicle where we will field the equipment in the current financial year, maybe sometime in January, February.

But, uh, the ordering will take place maybe one and a half years after that.

We have a steady flow of high-mobility vehicle platform orders already we have a very healthy order book pipeline of the HMVs, and we are expecting some more in this particular financial year. There will be some spillover also, so next year we will have a very healthy carry-forward orderbook. As far as the defense is concerned, we should have the Pinaka next regiment coming sometime next year, so that will be a big ticket order for BEML, as such.

AMCA, you see, it is at a very nascent stage. It's the RFI, to shortlist, the probable partners. Next stage will be the RFP. The entire program is... the first phase is 15 years.

To come out with a proto. Our role in this is basically considering our core strength in the aerostructures. That will be our main focus.

Data Patterns will be taking care of the avionics, and Bharat Forge , obviously, they're... they have expertise in hydraulics and other fabrications.

So all three complement each other. And, we'll be accordingly coming out with it. It's a huge program. That, if you see, only 2 companies have participated on their own. Every other company has participated in a consortium, be it L&T, Adani and others. We have participated with Bharat Forge and Data Patterns.

Further, We have received the emergency procurement orders, we have started delivery. We are supposed to deliver by next year, June, July we'll complete those orders.

Analyst: What will be the growth guidance?.

Management: 30% growth will be a challenge. 20% should be achievable. 20% guidance, I said, that is, achievable. 20% should be there in FY26. Third quarter, we should see an uptick in terms of the performance, and fourth quarter, as I said, since all the mining is coming out in the end.

So, it will emerge from the mining, it will emerge equitably, defense has performed well till now, and defense will continue to do that. Rail also.

A lot of things will go down to the last quarter.

Yesterday's train unveiling, we could have done two months back had the supply chain supported us.

M R. SANJAY SOM – DIRECTOR MINING AND
CONSTRUCTION BUSINESS – BEML LIMITED
CONFERENCE CALL
M R. RAJEEV KUMAR GUPTA -- DIRECTOR RAIL AND
METRO – BEML LIMITED CONFERENCE CALL
M R. SACHIN DIGHDE – DIRECTOR DEFENSE – BEML
LIMITED CONFERENCE CALL

MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to BEML Limited Q3 FY '26 Earnings Conference Call, hosted by Elara Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities India Private Limited. Thank you, and over to you, sir.

Harshit Kapadia: Thanks a lot, Bhumi. Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q3 FY '26 and nine-month FY '26 conference call of BEML. I take this opportunity to welcome the management of BEML represented by Mr. Shantanu Roy, Chairman and Managing Director; Mr. Anil Jerath, Director Finance; Mr. Debi Prasad Satpathy, Director Human Resources; Mr. Sanjay Som, Director Mining and Construction Business; Mr. Rajeev Kumar Gupta, Director Rail and Metro; and Mr. Sachin Dighde, Director Defense. We will begin the call with a brief overview by management, followed by a Q&A session.

I will now hand over the call to Shantanu sir for his opening remarks. Over to you, sir.

Shantanu Roy: A very good afternoon to all the esteemed investors. I am Shantanu Roy, Chairman and Managing Director, BEML. To give you an overview of our performance in the third quarter, the revenue from sales has grown by around 24% year-on-year. There has been a commensurate growth in the value of production, and the employee remuneration -- has gone down. The inventory in terms of number of days of the VOP has gone down. The working capital also in terms of the number of days has gone down. There has been a reduction in the total number of employees from 4,798 up to December '24 to 4,622 up to December '25. And there is a positive in value added per employee.

The challenging part has been the dip in the profit, the PBT, the PAT, and the EBITDA, and the total comprehensive income. We are in the last quarter now, and the current order book that we have is more than INR16,000 crores -- in fact, it is INR16,300 crores, out of which 68% is from Rail and Metro, 25% is from Defense, 7% is from Mining and Construction.

In the balance period of the current financial year, we expect that we will cross INR20,000 crores in order book. And we will try to have a growth in revenue as per the guidance that has been given till now.

So, as far as the business decisions that have been taken in terms of the diversification, in terms of the futuristic programs that we are working on, we have recently, in the last board meeting, approved an investment of INR1,500 crores for the Bhopal plant for rolling stock. This investment will be in two phases. The first phase will be around INR900 crores, second phase will be around INR600 crores, and these numbers are including GST. The first phase we will

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endeavor to complete in 18 to 24 months' time, and there will be a gestation period between the first and second phase.

The first phase itself will make the plant fully operational, and we will be able to enhance our current capacity of rolling stock by at least 300 cars per annum. It is a very modern greenfield project, fully automated, with a full-fledged test track, painting booth, furnishing area, stabling booth, and it can cater to cape gauge, broad gauge, and standard gauge rolling stock.

Apart from that, we have been working on several other initiatives to enhance our product portfolio. Foremost among them is the Tunnel Boring Machine, which is the need of the hour for the country for all the infra projects including the metro, the high-speed project, the road

projects.

We will be starting with the 6.5-meter diameter Tunnel Boring Machine, which will be

exclusively used in the metro projects.

We are also diversifying into maritime cranes for port operations as well as shipbuilding. The port operation maritime crane includes the ship-to-shore crane, the rubber gantry cranes, as well as the rail-mounted gantry cranes. And the shipbuilding cranes will be the Goliath cranes. There is a huge visibility of this particular product, at least INR5,000 crore per annum can be the revenue once it reaches its complete potential.

The Tunnel Boring Machine, if we talk about globally -- in India itself, the next 10 years, the requirement is around \$5 billion of requirement in the coming 10 years. These two are going to be one of the key drivers of revenue as well as the bottom line in the coming years for BEML, apart from the rolling stock, apart from the defense equipment that we are currently building, and also the diversification initiatives that we are taking for foraying into underground mining by way of continuous miners and surface miners, for which we have just entered into a partnership with Tesmec Italy.

That is a glimpse of the company's future aspirations and endeavors. I now leave it to our esteemed investors for the Q&A.

Moderator: Thank you very much. Our first question comes from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi sir. Thank you so much for the opportunity. The first question, in terms of the capacity announcement, which we have done for the rolling stock, so what would be the current capacity and with this 300 additional. If I understood correctly, what is the pipeline which we are looking for? So you said, there is a 24-month time and there would be Phase 2 also. So over the next two to three years, if you could highlight parallelly what is the pipeline in terms of projects or number of cars or value that would be of great help?

Shantanu Roy: Thanks Amit. The - current capacity, if we take a look at the average in terms of the number of coaches per year, it is between 200 to 250. Our current order book itself is 1,400 cars. This new capacity, Phase 1, which in all likelihood will enable us to add 300 cars more in our capacity, and the Phase 2, as and when it comes, we will be in a position to do 800 cars per annum from BEML Limited

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there.

Apart from the current projects, the projects in pipeline are: number one, the MRVC project for the AC EMUs for Mumbai, which alone is 2,856 cars. We also have some export orders. One of the orders for the metro rolling stock we expect in the coming two to three months. We also have a metro rolling stock projection of at least 2,500 cars in the coming four to five years. With the announcement of the high-speed – seven high-speed corridors, my assumption is that it will require at least 600 trains. And if we take an average of eight cars per train, it will be around 4,800 cars.

The RRTS project, already two new corridors have been announced. So if we take each RRTS, say 20 trains requirement, where the train is around – it's a six-car train normally. So 120 trains per RRTS corridor. If you look at only the Delhi hub for the RRTS, there are six more corridors to come up. So from the Delhi hub itself, we can expect 120 (multiply by) 6, that is 720 cars. Apart from that, we also have the 280 kmph high-speed train, which we will endeavor to enhance the numbers.

So all in all, if you look at, there is a requirement of at least – yes, I'm missing out on the LHB coaches. We are currently doing 600 LHB coaches and we expect that at least two more such tranches will come to us. That is for the broad gauge LHB. So the overall requirement if we can look at in the coming five years will be at least around – it will be more than 15,000 cars. And if we take a 50% success rate, we'll be needing to deliver at least 7,000 to 7,

500 cars.

So we have worked out in great detail in the detailed project report, worked on the internal rate of return, mapped it with the investment required. The idea is to go for a very lean and green manufacturing facility. We are planning to have a facility which is double-storied. On the first floor, we will be doing all the car body shell work and then on the ground floor, we will be doing the furnishing, and then it goes straight away for testing, commissioning, painting, and then final dispatch.

This facility will also have a test track of 2.4 kilometers, which is needed for a 24-car train as well. As I mentioned, this facility will also have the capability of producing rolling stock for cape gauge, which is used in Africa, for standard gauge, which is used in the metro as well as the high-speed trains, plus exports to a lot of countries in the world, and of course then the broad gauge. This facility will also be made in such a manner that it is trackless inside the manufacturing area, and the tracks will be outside all along the periphery. I hope I have given you an idea.

Amit Anwani: Yes, sir, that was useful. Yes, yes. Yes, sir. The second question: since we are building this very strong pipeline you highlighted in terms of the requirement for suppliers and vendors, we have seen there's been some challenges in rail & metro. So with this huge pipeline which you

highlighted and the massive expansion plan, how are we working towards the sustainable supplies? Any critical components still will be probably importing or we are doing in-house, and what is the kind of outsourced portion which we will be thinking about in terms of execution going forward, since we are massively increasing the capacity?

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Shantanu Roy: You have very rightly pointed out. The supply chain partners and it is not only BEML but as a country, the numbers that we are looking at, the kind of opportunities in the rolling stock replacement of the existing fleet, definitely as a country, we will need the industry partners of that quality, caliber as well as capability and the financial strength as well.

So, what we have done is -- let us look at what are the critical aggregates. The critical aggregates are the brakes, the doors, the wheelset bogey, then of course, we have the propulsion, the TCMS, the interior furnishings like the panels, seats, HVAC, the gangway, the gearbox. These are the critical aggregates.

Most of the critical aggregates are already being manufactured inside the country, and many of the foreign OEMs have already set shop. We are now getting more foreign OEMs and more Indian companies to establish the facilities in the country. For example, the bogey and the wheelset. The wheelset, currently, we already have three to four players in the country. For the bogey, also already there are three to four players in the country, which are not only catering to the metro, but also to the commuter rail requirement of the Indian Railway production units.

HVAC is one area where we'll need more players, quality players with capability and financial capacity to come to the country. We are working on that already. Then for the brake also, the brake is another critical aggregate where we'll need more players in the country.

The interior panel and seats, we will definitely need more companies, more industry partners.

We are already developing such partners and I am happy to share with you that now for the interior panels we have at least three partners with us whom we have developed for Vande Bharat Sleeper.

For the seats as well, there are two, three partners who have already been developed. The gangway, already we have a very well-established player in the country -- an international player in the country.

For the traction motor, we have three, four sources. For the TCMS, which is one area where we would like to have a control. So, for the in

formation of all esteemed shareholders, we are now

working on developing our own train control management system by way of which we'll be in a position to decide on the propulsion supplier. I mean, we can go with any propulsion supplier; that is number one.

Number two, in the long run, it's very important that we also have the propulsion under our control. If you look at one of our very important competitors, they have acquired another company and after that they have become very, very competitive and they have been able to execute so many projects. So, it's important to get into at least a part of the electrics by way of the propulsion.

So, by all these actions, I'm sure we'll be able to deliver the desired numbers because for the execution strategy, it is very important to not only have an in-house robust design setup as well as in-house manufacturing capability. The idea is to have the integration capabilities within the

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organization, as well as having control on some critical aggregates which are required for rolling stock manufacturing, as well as having multiple options for the critical aggregates like the HVAC, brakes, doors, et cetera.

Amit Anwani: Right. Sir, lastly on the new products which you highlighted; one was Tunnel Boring Machine and second was Shipping Cranes, if I understood it correctly. So, at what stage we are with respect to these product equipments?

And I understand probably this could be the MNC-dominated spaces. How are we planning to penetrate these areas and initially what sort of revenue contribution we are looking from these equipments in the next 12, 24 months?

Shantanu Roy: So to answer you, I will first talk about the Tunnel Boring Machine. So Tunnel Boring Machine, as I mentioned, we are now focusing to begin with, we'll be working on the 6.5-meter diameter Tunnel Boring Machine which is extensively used by the metro corporations. We'll be starting a pilot project very soon where we'll be building four such Tunnel Boring Machines.

You will appreciate that whenever there is a clean sheet design, there is a gestation period, there is a design verification, validation. So that—it will take some time at least, at least for—two and a half years for us to develop our clean sheet design Tunnel Boring Machine.

So I don't expect any revenue as such from the Tunnel Boring Machine. If it happens, it will be by way of contract manufacture for some other OEM where we can contribute to the overall Tunnel Boring Machine. But as far as a complete Tunnel Boring Machine is concerned, considering the design development validation and commissioning, it normally takes two to two and a half years.

As far as the maritime crane is concerned, so the maritime crane also, currently it is all imported. There are no companies in the country. But it's very important that there is an Indian company which can support the maritime vision 2030 and the Sagarmala program of the country and the Viksit Bharat 2047, where 12 mega ports, 200 minor ports have been envisaged.

And for enabling this vision of our Honorable Prime Minister from chip to ship, it is very important that we start working on it. We are in the phase of preparing a detailed project report which should be ready within two months from now. We are also trying to figure out a place where we can start the project. It will be— a greenfield project, we need a waterfront with a minimum depth of 12 to 14 meters. The waterfront which is required is around 700 to 800 meters. And the overall area which is needed to manufacture the maritime crane—all variants if put together—the gantry cranes or the rubberized cranes for the port operations and the ship-to-shore cranes.

So as a thumb rule, it is one acre, one crane. So to start with, if we can look at somewhere around 100 to 150 acres to start with. So it will start giving us revenue maybe three years to three and a ha

If years from now. And the total revenue that I mentioned, it should give us a revenue of INR5,000 crores, maybe five years from now. There is a huge requirement of at least 70 to 80

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ship-to-shore cranes per annum based on the current estimates. And the Goliath cranes are basically required for shipbuilding, so the numbers will be much lesser as compared to the ship-to-shore crane and the gantry cranes.

And parallelly what we are trying is to use our existing facility in our manufacturing units and see if here also if we can make a beginning with—by way of contract manufacturing for some of the components of such cranes for which we are looking for partners.

Moderator: Thank you. Our next question comes from the line of Ankit D from RNM Capital Trust. Please go ahead.

Ankit D: Yes, good afternoon and thanks for the opportunity. So my first question is out of INR3,150 crores leftover—I mean, that you executed this year order book, how much we are confident to execute in Q4 and what are the drivers or what is that kind of gives us a confidence to kind of achieve the 20% guidance that we have said we will be able to meet for FY26?

Shantanu Roy: Sorry, I missed out on your number, the first number that you mentioned.

Ankit D: So the executable -- we mentioned that order book can be executed in Q4 is around INR3,195 crores right? So how much of that can be executed in Q4? And what gives us confidence meet the 20% guidance for the FY '26?

Shantanu Roy: I never mentioned INR3,195 crores order book, which can be executed in the last quarter.

Ankit D: No, I mean, I'm saying this is mentioned in the filing, right? I mean, the press release that came out, that executable in current year. So I'm asking how much can be executed from this?

Shantanu Roy: That is total executable order. It may be the total executable order. You know, INR3,195 crores doesn't ring a bell in my mind. So what I can say is that in the next 50 days, we will endeavor to meet the 20% guidance. We are working on it, but at present, it will -- only be speculation if I give a number. It will not be correct on my part to give a number. We are trying; even in a capital goods industry, a growth of 10% CAGR, 10% to 15% is pretty decent. So we will try to reach 20%. If it happens, we'll be very happy.

As far as the confidence level is concerned, the confidence level, depends on a lot of things. So right now, it's not the confidence level, but it will only be a speculation if I tell you that we'll be achieving 20% or 25% or 30%. So let's not speculate, and we are trying our level best. We have the orders in defense, in rail and metro. It's only in mining that we do not have the orders currently, but very shortly we'll be having the orders. The equipment is already ready. And our staple products like the bulldozer, the water sprinklers, the excavators, we'll be getting orders in the coming -- even if we get orders by 20th of March, we'll be in a position to deliver that. That is what I can tell you now. That is the kind of confidence level that we have.

Ankit D: And can you provide some insight on what exactly hit our profitability in this quarter? And what is that we can expect in Q4 in terms of EBITDA margin?

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Shantanu Roy: As I mentioned at the beginning itself, that this quarter, in the quarter 3, the profitability has gone

down mainly because of one factor, wherein we brought in a correction for one metro project where we had to restart the project. The project was in a limbo and that's the reason we had to provide for INR80 crores, around INR80 crores. Barring that, if you see, our performance would have been much better, the profitability would have been much better in this quarter. Nevertheless, this was needed, this was important. And this INR80 crores also is based on the current exchange rates for the euro and

USD. And the contract that we'll be executing, it's a deemed export. So by the time we execute, I'm very confident, another 16 months, 18 months down the line we'll be executing this contract. So looking at the current trend of the exchange rates for the euro and dollar, even this INR80 crores will be wiped off. It will be wiped off, but the positive impact will be known after 16 months, 18 months.

Ankit D: Got it. Since you mentioned that our current quarter...

Shantanu Roy: So we had to take the hard pill in the current -- in the third quarter.

Ankit D: Okay. Thank you, sir. I have just one question if I'm allowed or can I go ahead with one more question?

Shantanu Roy: Harshit, it's up to you.

Harshit Kapadia: I don't know.

Ankit D: Okay. Sir, since you mentioned that our current order book is 1,400 for these coaches, 1,400 coaches, and our current capacity is 200 to 250, right? And our Bhopal facility, it will take around 18 months, right? So, what are the plans to execute this 1,400 backlog that we have got, and how much time it will take for us to execute this current order book?

Shantanu Roy: I was expecting that to come from you. So, for that, we had a plan B. And that is why we started creating one more facility in September 2024, which is called Aditya, and which is ready. So very shortly you will see the coaches coming out from that facility. That facility has been built specifically for the high-speed train project, but it is not only the high-speed, it is again a very versatile facility that we have built, and we'll be manufacturing the LHB coaches, even the Vande Bharat Sleeper, the track machines at this facility.

Apart from that, we also have, a small facility in KGF where we have the railway tracks. So we are shifting -- this facility can take care of the track machines, like, the rail grinding machine, the rail-bound maintenance vehicles, but it also can take care of the LHB coaches. So, we have shifted some of the load for the LHB coaches to this facility, which is called RC2, Rail Coach II in KGF factory.

So we'll be able to take care of the immediate requirement. Immediate requirement is three major rail projects: the high-speed, the LHB, the Vande Bharat Sleeper. Three major metro projects, which is the Chennai Metro, the Bangalore Metro. The Bangalore Metro will in fact see a lot of BEML Limited

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traction in the next financial year, at least 20, 25 trains we'll be in a position to supply.

And, of course, the Mumbai Metro, the 33 train sets, which will be pending with us. This is over and above the 63 trains set contract. So, after the 63 trains set contract, we received two more contracts of 21 trains and 12 trains.

So we are planning to complete all these three projects in the coming three to four years. By which time Bhopal facility will also be in place, and we'll be able to execute the forthcoming future orders like the MRVC, which we are bidding for, the export contract that I spoke about, the other metro projects that will come, the other high-speed projects that will come to us in due course of time. So we'll be ready, we'll be future ready basically.

Moderator: Thank you. Our next question comes from the line of Prathamesh from Elara Securities India Private Limited. Please go ahead.

Prathamesh: Yes, hi sir. Sir, two questions from my side. Firstly, how would you fund the capex of around INR1,500 odd crores?

Shantanu Roy: So, till now we haven't gone for any long-term debt. So for the Bhopal project, INR1,500 crores, obviously, we'll not be putting our capex. So, we'll do it through debt financing. And as I mentioned, we'll do it in phases. And the first phase debt financing, it should happen maybe the financial closure another couple of months from now.

It's a long-term debt and we also hope to start commencement of the civil works for the plant in two months' time. In fact, we already have started th

e civil works of this project sometime in

October that is the boundary wall, which is almost 50% ready. We have acquired the land, everything is done as related to the measures that need to be taken.

And the long-term debt is the route that we thought it's best to go for rather than putting the cost of capital as you all know, it will be the cost of equity is much higher than the cost of debt. So, taking that in view, we decided to go for a debt financing for this project.

Prathamesh: Sure, sir. And next one, like what -- like considering the only 45 days are remaining and there is

a steep sort of asking rate in Q4, so what sort of revenue you are looking around at Q4?

Shantanu Roy : Again, I'll be speculating only if I tell you the revenue, what I'm looking at. So my guidance is we should look at anything between 15% to 20%. 20% is what we are aiming for. But right now, it will be speculation only. So let us not speculate. As I said, we have the orders. We only have to deliver to execute except in mining. And in mining, as I said, as soon as we get the orders, we'll be ready to supply the products since they are already ready.

Prathamesh : Okay, sure, sir. And last one on the supply chain constraints you're facing earlier on the casting side, so have they eased now?

Shantanu Roy : Yes, they have eased to a certain extent. I won't say it is 100% eased. Still some of the casting
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manufacturers, their samples are under testing. Once they clear the testing, then only -- and we will give them clearance for bulk production. And then only I can say that it has eased out to 100%. Right now, I will say casting, the steel cast at least 60% to 70%, it has eased out. As far as other components are concerned, for example, the critical aggregates like the cabins, which are needed for HMV, I would say 80% to 90%, it has been eased out.

Moderator: Thank you. Next, we have a follow-up question from Amit Anwani from PL Capital. Please go ahead.

Amit Anwani : Hi sir. Thank you for opportunity again. The question relates to Defense. Earlier we have been highlighting the pipeline in terms of RFIs for, if I recollect, some 2,000 plus vehicles and then there was a RFI for ARVs also. Just wanted to follow up on what is the status on these RFIs and pipeline in Defense and what is the immediate pipeline for Defense over next 12 months where probably tenders are already out and conversions can happen in Defense?

Shantanu Roy : I thought, you know, I have spent around 30 minutes answering to you and all your questions are over, but I didn't realize that you have not touched Defense. So anyway, in Defense, in Defense we have an order pipeline of high-mobility vehicles for at least, you know, 1,000 crores. Then as far as the strategic systems are concerned, the engineered equipment, there is -- the requirement that is coming out, it will be around 1,000 to 1,500 crores. Then there is a requirement for combat engineering bridging systems; it will be again in the range of -- it will be around 45 to 47 bridging systems that will be needed. So it should be again more than 1,000 crores.

The currently -- the orders that we can expect immediately is for the trawl for which we have already emerged L1. Then the self-propelled mine barrier where our equipment has successfully cleared all tests on NCNC basis and we should be getting the order in the next financial year, maybe in the first quarter, second quarter max. Then we have other engineered equipment like the command post vehicle for which we are expecting the bulk production clearance very shortly. Apart from this, we have, some missile programs which are coming up for which the platforms will be in our scope and the Strategic Forces Command. So I look at plus yes, the ARV RFI RFP is already there for 194 ARVs and it is with the 1,000-horsepower engine. We are one of the six bidders who are in the fray.
Then

the ARV WZT-3 overhauling. There is a fleet of 352, out of which we have overhauled 350 and we expect that very shortly we will get an order to start with of 20, then the balance 230 in the next financial year, and which we'll have to deliver in the next four to five years, and then the last lot of 100 ARVs for overhauling will come maybe in the fifth year. So this is a pipeline, a very steady pipeline. I have not mentioned the gun towing vehicle which has already undergone successful trials on NCNC basis. The price will be opened very shortly and that will be a big chunk of order for us even if we get 60%.

Next is the light armored multipurpose vehicle where we have been technically cleared, now we are in the process of fielding our product by end of this month, which will undergo extensive

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NCNC trials and it will take at least one, one and a half years for the price -- for the trials to be completed and the price to be opened. We stand a very good chance; this is a product which we have developed entirely from scratch in-house, designed, developed, manufactured, and this is also a testimony to our capability. I hope I have answered all.

Amit Anwani: Yes, sir. Yes. Sir, lastly if I may ask on the Mining. You said order book is kind of not there. So what is the reason for that? Is the Coal India dominant orders not coming in or -- because I understand that we were kind of supposed to upgrading the equipment, we wanted to diversify also on the construction equipment, and ideally the kind of growth which is happening in mining probably 5% to 7% in the past, I was expecting that probably with these initiatives it should improve going forward. So, any particular reason for order book not coming there?

Shantanu Roy: Construction, we already have the orders and we'll be delivering this year itself and construction will see a growth of at least 30% this year as compared to last year. As far as mining is concerned, because of the rains getting postponed, mining ordering also has been patchy. That is number one. Number two, the shift from departmental purchase to MDO.

So we are very conscious of this fact and as a strategy, what we have done is we have reached out to all the MDOs; in fact, we have carried out roadshows with MDOs. And we are quite confident that already we are working with some MDOs beyond Coal India for the Coal India projects. As far as Coal India is concerned, we expect that most of the ordering will be done in the current financial year, some will shift to next financial year.

And we have non-Coal India companies also like the Singareni Collieries from which we expected at least, you know, some 700 crores, 800 crores of order in the current financial year which will now go into the next financial year, the first quarter.

So when we start the, next financial year, the first quarter, we will have a very healthy order book for mining for a change, for the mining equipment. Also, we are banking on some export orders from the GCC, from the Middle East, which should happen in the current financial year and these will be big orders. So, next year order book pipeline for mining will be even better.

But what I can share with you right now is we are pretty hopeful that the needed numbers for this year we'll be getting from Coal India and its subsidiaries, then from Manganese Ore India, from companies like SAIL, companies like Singareni Collieries and NTPC. So we'll be able to make up for the numbers by way of orders from these companies and also from some of the MDOs.

Amit Anwani: Right. Sir, you said the construction equipment was 30 --

Moderator: Sorry, Amit, can you please rejoin the queue for more questions?

Amit Anwani: Sure, thank you. Thanks, sir.

Moderator: Thank you. Our next question comes from the line of Nemish Sundar from Elara Securities India Private Limited. Please go ahead.

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Nemish Sundar: Yes, hi, sir. Thank you for the opportunity. So firstly, just wanted to understand the Tunnel Boring Machine. So in the Union Budget, the government had also mentioned the Tunnel Boring Machines as part of their initiative for the enhancing the capital goods ecosystem. So wanted to know, since you are venturing into it, would you get any support from the government or any incentives as part of this?

Shantanu Roy: We have not really looked into it. I'm not looking at any incentive from the Tunnel Boring Machine as such. There is a PLI scheme which has been announced for the construction equipment and that is mainly for excavators, bulldozers, and motor graders and other stuff. So, as far as Tunnel Boring Machine is concerned, the development stage -- at the development stage, we'll be expecting support from the government, not in terms of any subsidies or any PLI, but in terms of a development contract, which is normally the process which is carried out especially by Coal India.

For example, when we delivered the 21 cubic meter rope shovel, the 550 HP motor grader, they place development order on us and we have delivered, right from clean sheet design, development, manufacturing, assembly, commissioning, everything -- the entire ecosystem, the entire process, the entire value chain.

So, here also we expect the same kind of model to be followed. But as I mentioned earlier that we will also try to tie up with some organizations or companies who are into such kind of products and we will try to look at whether we can do some contract manufacture for some critical components, some difficult components where we can step in.

Nemish Sundar: Okay, sir. And this project would be in collaboration with any technological partner like a foreign company or would it be developing the technology in-house completely?

Shantanu Roy: It is too premature for me to speculate on that right now. It will not be correct on my part until and unless we finalize something. So, we may go on our own as well. A clean sheet design.

Nemish Sundar: Okay, sir. And secondly, sir, on the current order book for Rail and Metro and Defense, so could you just highlight the major projects that are in the order book and the execution timeline? And also particularly for the status of the Mumbai, Bangalore, and Chennai metros?

Shantanu Roy: You have already mentioned the order book; I need not mention the numbers again. So, the metro, these are the three major projects which make up the commuter rail, it is the LHB coaches and the sleeper is the high-speed train and some track machines. So, already this is the break-up of the order book that we have currently.

For the Defense, in armored -- defense mainly consists of the sustenance, the hydraulics power line, armored, and the high-mobility vehicle plus some systems like the MMME, the command post vehicle, these are the systems -- the system integration that we call. So, the order book is built like that.

As far as the projects in metro are concerned; so, number one, Bangalore, we have started the

bulk production this year. We expect to deliver eight to nine trains in the current financial year. We have already delivered two. We expect to complete the last train set for Mumbai MRS project; after that, we'll be left with 33 train sets where we'll start delivering from '26-'27 or maybe '27-'28.

The Chennai Metro will commence from the year '26-'27 when we are supposed to supply the first proto in the month of December 2026. So, that is how it is placed.

Nemish Sundar: Okay, and lastly on the working capital, so you progressed well on the working capital. We saw a reduction in Q3. So, on the yearly guidance for the working capital, how would you see it for this year and possibly for the next year?

Shantanu Roy: I can only give a guidance for this year. Our endeavor is to reduc

e the inventory by at least 20%.

And we are doing it on a war footing. The next component of working capital is the debtor. There, things may not be in our control totally. So, there we may not be able to make much progress, but at least the inventory we will endeavor to bring it down by 20%. Especially the legacy inventories which before '22-'23 and the '23-'24, '24-'25, these inventories we'll try to bring down as much as possible.

Nemish Sundar: Okay, sir. Thank you so much, sir.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Harshit Kapadia for closing comments. Over to you, sir.

Harshit Kapadia: Yes, I would like to thank the management, Mr. Shantanu Roy sir, for taking time out and sharing your thoughts on the BEML result and the forward outlook on how you want to reshape the company and thank you all investors for participating. Any closing remarks that you want to share with the investors, sir?

Shantanu Roy: No, I just wanted to thank all the investors for remaining invested in BEML and I can only say that please remain invested in the next -- I mean as a long-term investor. Look at BEML from the long-term perspective and I sincerely hope the, current of order book we'll be having at the beginning of the next financial year, which can be executed in the next financial year, we should be crossing all barriers. That is what I can say at this point of time.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Shantanu Roy: Thank you very much.

Shantanu:

Here the 12x12, just go back, the 12x12 is mainly used for strategic forces command and for all major missile systems, radar systems. We were importing the CKD and doing only the assembly. In 2025, we rolled out our first indigenously manufactured 12x12, which has now undergone extensive testing at our works at VR DE, at DRDO, and finally cleared for bulk production. So all the future 12x12, which will be used for LRSAM, which will be used for Pinaka, any project, Brahmos it will be given indigenously. The LAMV is a light armored multipurpose vehicle which is a 100 % indigenously designed, developed product. We did a lot of blast simulation testing for the belly protection. It has standard level two protection. And we have built the vehicle and it is now undergoing trials since 31st of March. It will undergo extensive trials for a year and then EMI AMC next year around August, September.

Once the price is open, then it will be decided.

Whichever party, whichever company is the L1, they will get this order.

The 21 cubic meter rope shovel, this was done in a period of three years from scratch, design development and the manufacturing started, the supply started in March 2024. This is a 750 ton machine which was sent to site in 24 consignments. It got assembled at site, commissioned at site and April 29, it was thrown open for production. And since then, it has April 29, 2025. So it is working seamlessly for more than one year now.

The 550 HP motor grader was supplied to South East Coalfields Limited, again entirely indigenously developed, designed product, which was earlier being imported. 35-ton electric dump truck is our effort at sustainability, providing green solution. And this is the first step towards the EV conversion to EV for all our dump trucks.

So this is the first one, next in line is the 60 ton and 100 ton which we intend to do this year and 190 ton maybe after a couple of years. This 190 ton product has a very good market potential in overseas market like big Mining countries etc.

Akhil:

So under new product development, high speed rail, so I have talked about from the BEML side. LRSAM long range surface to air missile on the platform of HM V 12 x 12, 8 x 8 and 6 x 6. Sir just now talked about 60 ton and 100 ton electric version of dump truck and 8T of tyre handler.

Quick on the fleet size at present in the field. This gives you a little bandwidth on our spares and service businesses, which has a potentially high margin, high growth, and which actually trigger a hub and spoke warehouse model which we are rolling it out in Bilaspur.

On the global reach, we have a population of 1400 plus equipment to 73 countries. If you look at the fleet size, Africa is the largest market, Middle East followed by. Then SAARC being a preferred partner. CIS we have entered and progressing quite well.

We talked about the major achievement, the highest ever order book. We are closing with 15,900 crores, including highest ever export order of \$107 million. Product we have already talked. The below last below two lines may be of interest for all of you. BEML rolls out the prototype of New driverless metro trainset for BMRCL's phase2 network.

One of the big milestones in the BEML export, have got the metro rolling stock from the overseas market. On the external awards and accolades that recognizes our leadership, leadership in engineering, leadership in innovation, and the leadership in process improvement and the leadership in governance and the brand. So last year we have accolades in almost all the vertical well appreciated by the third party.

Quick on the shareholding, the government of India with the major stake holding of 54.3 %, MFIs and resident individuals almost at par 17.5%

The shareholder returns, although the market cap as on 31-3-26 it was 11,400 crores but today it is around 14,700 crores. So like BEML efforts are always to be consistent giving the return back to the shareholder. So Company is continuously paying the dividend and of course the addition in the value. Last year on major activity we had in like we have split the equity shares this year of Rs 10 face value into 2 equity shares of Rs 5 face value which has given a good leverage to the small buyer.

On the financials highlights, so revenue is up, improved net worth, improved capital employed., the management is continuing watchful on the performance and trying to leverage the growth and margin expansion. So the year 25-26 if you look at, it's one side there is a growth in the revenue and there is a dip on the margin. Mainly because of the one-time adjustment, the legacy adjustment we have corrected in the balance sheet. But the underlying operation, the matrix shows the positive growth. So, networth high, the revenue from operation is all-time high, the capital employed is high, working

capital is stable. The capex is all-time high, the R & D expenditure is all-time high.

In year 2025- 26 we had mixed reaction on financials a clear split between strong revenue growth and margin pressure due to one-time legacy correction. Just a breakup of the business group by revenue. So M& C, Defense and Rail and Metro. If you see the defense vertical, there is a growth of 1000 crores to 1500 crores. Which shows that there is quite a good opportunity in the defense

segment. And of course, the rails and metro with the kind of order we are having, this year big revenue jump in the Rail and Metro and the mining construction being a core for BEML so consistent on the performance side.

The quarter-on-quarter revenue, FY26, we see the quarter fourth is the major jump. A year we've years we touched around 1800 crores.

Quick on the VOP which is aligned with the sales growth of almost 9 % with respect to previous year. On the profitability, the PBT is around 200 crores which is 51 % down. The PAT is around 148 crores, 50 % down. Of course, the impact of one-time the legacy correction in the balance sheet. EBITDA margin of 328 crores, which is down with 38 % with respect to the previous year.

As I referred, capex and R & D expenditure is all one-time high which will give a major advantage in coming years to the BEML.

We have closed with the 15,900 crores orderbook. This is the all-time high.

The major excitement for the companies that we had got USD 107 million export order bookings.

On the left hand side top you see the break up of the order book which has one of the major order book from West Asia on the mining equipment side and 60-million-dollar order from the rolling stock from the Africa region. CIS continues to be growing with the 10-million-dollar order book in hand.

Even the future pipeline is exciting, West Asia program will be a repeated on almost the same number. And the growth what we see in the export, the rail metro product side, we have MOU in place with SMH rail, which we see probably a good business opportunity from the Malaysia. Tel Aviv Metro, we are going with DMRC, very good opportunity size, around \$250 million. Then Dublin Metrolink with size of around 90 million dollars of Business opportunities.

Collection and the employee cost. Collection in FY26 there is a reduction as compared to previous year. Previous year we had an advance which was a kind of a major gap. And also in Current year is the last quarter's sales and the delay in the collection from the MOD which we have collected in the month of April-May. So April- May collection is the actually compensating of what we have shortfall for in previous year. The employee cost is showing little high as compared to previous year. But actually, wage cost has come down impact of Gratuity has one-time provision led to increase.

Quick on the working capital, debtors and inventory. Debtors, as I mentioned, the quarter 4 sales, blocked the money. And inventory, there is a reduction in the inventory and there is a continuous efforts of the management on the inventory. So, there is a check on the inventory.

That's all.

Shantanu :

The floor is open for discussion.

Analyst:

So, just to understand what went wrong in Q4. Because we were of the understanding that the Q4 close with an Order Book would be Rs20000 crores? On the margin front, do you foresee any further one-time adjustments that may come in our books in the futures? This year how would you think? The execution mostly is the critical. With respect to capacity, we have a good order book now we are also having export order for rolling stock, which is also picking up, so how we are planning to execute? Because our Bhopal facility is coming next year. So how are we planning on that?

Shantanu: First let me talk about the order book. We ended the year with the order book of 15,896 crores. There was a good executable order spillover to April because

use of the certain

reasons. One was an export order, the other from MOD. In fact, one of the order which we have got was signed on 27th of March.. Then there were some projects in the heavy earth moving machinery. There the ordering got delayed. Although we became L1 in some projects in the month of February and March. Those orders are still to be finalized .. So, these were the two major reasons.

Third we were expecting, you're expecting more than 20 in fact. The high speed train orders, 16 more. which was definitely tendered out in March, end of February, March. Already everything is completed. So now final formalities are going on. So these were the three major reasons. If I would say that, yes, we expected to reach 20,000, but we fell short by almost 4,000 crores. That is number one.

Number two, as far as the top line is concerned. So top line, If you look at the performance overall wise, mining overall which is the heavy moving machinery as I mentioned, generally what happens is the order comes in third quarter, fourth quarter. So last year was extremely difficult, extremely difficult because of the unusually long and shi shed monsoons because of which Coal India ordering did not happen, the revenue also not converted and that had a cascading impact on the overall working capital. Working capital was more impacted because of the record sales in the last quarter. Because of the skewed sales in the last quarter, there is always a pressure on the

working capital, the debtor goes up. Even though inventory has gone down, but the debtor has gone up. So these were the three reasons. Now as far as the bottom line is concerned, There was a direct impact of around Rs. 250 crores on account of the one time correction in two projects plus there was a one time impact of provision which had to be created for the gratuity because of the new labor codes and all. So because of these one time challenges the desired result could not come.

Otherwise, we would have last year's number by quite a significant margin. Nevertheless, the silver lining is that the two projects where we have one time correction, one time cleaning of the books, they are in foreign currency. And just to highlight, one order we took in 2018, when the dollar was 60, the euro was 65, now the dollar is past 95, euros is more than 105 or so. So as per the accounting policy, when we start realizing the sales, then only we can take the benefit of the exchange rate variation. And this coupled with the PVC clause that one of the projects has, it will mitigate the total hit by at least to the extent of 30%. That is my views.

And in the mean time, if the dollar continues to rise, this gap, this mitigation will be further taken care of by at least 10 to 15%. So that is how it is. The current year, we started with the 5,500 crore order book executable order for the year. First time in the history of the company, we are at this situation.

Now, if you look at the performance, generally first quarter 10%, second quarter 20%, third quarter 30%, fourth quarter 40%, even 45% in some cases. This is mainly because of our over-dependence on mining, the heavy earth moving machinery, because the ordering itself takes place in the third quarter and fourth quarter. So year after year, that is the cycle.

Order book on Rail, metro and defense, Rail metro currently accounts for around 65 percent of the order book. Defense currently accounts for 25 percent of the order book, 4 percent is from M&C and 6 percent is from exports. With this kind of order pipeline, where the major commuter rail projects, now Vande Bharat, once it was inaugurated for commercial service in January. And the proto was cleared, the design was cleared. And now there is a continuous supply of the balance Racks

Number two, the LHB, the LHB orders 600 coaches Again, we have to take a design clearance for the first two trains. Now we have got the clearance for dispatching the

trains and this month the

dispatch will start. Third is the high speed train. High speed train as you all know, it's a very, very complex clean sheet design and we have commenced the production of the train starting with the underframe components and as I talked to you the sidewall is under manufacturing.

We expected that the first car body will be out by August, the car body shell and we are trying to get the first train at the beginning of the next year, next calendar year. So that it will then go to the Surat Depot and after that it will undergo extensive testing. Before going there itself, will undergo extensive testing at our works and then Depot testing at Surat and then testing on the main line. So that it will go for four, five, six months. All the tests are already identified.

One train we have to give in the current financial year. So when we calculated 5500 crores order book, all these orders were in place and all are executable. That in the heavy moving machinery, currently we have a sure shot order of around 350 crores that has come from the export order. the contract has a provision of repeat order of 100 percent plus the spares. The sustenance is not yet covered in that. There is a five percent mandatory spares which can increase up to 12 percent. that order is already there. Plus we have emerged L1 in three big opportunities which valued at around Rs. 600 crores.

. So as of now, we have a visibility of around 950 crores from the HMV at the beginning of the year. So that has never happened. I've never seen that. So this is over and above because it's 350 crores also export already came in April. So it is not accounted in current year 15,896 crore order book

Plus the 16 train of high speed it is yet to be finalized. So that will further add to our kitty. If you look at the orderbook pipeline, this year we have an opportunity size of, I mean, minus this high speed and other things, we have opportunity size of around 40,000 crore, which mainly consists of 70% from the rail and metro, 20% from the defense, 5% from mining, 5% from exports.

In the rail and metro there are six tenders currently which have been floated. Six different tenders totaling around 554 cars and we also have the MRVC tender, 2856 cars. The total opportunity size is roughly around 35,000 to 40,000 crores and we also have several defence orders in the pipeline. For example, the Armoured Recovery Vehicle overall 230 numbers already DAC has cleared. Self-propelled mine burier we are the sole bidder and another 2-3 months we should have the order. The Sarvatra bridging system 47 bridges which should be roughly around 1500 crores.

The AoN is already there and you have to give a proto because there is a change in the material. Apart from that the MMME which will be completing the current order There is an order pipeline of 120 numbers roughly around 600. So several orders are in the pipeline plus of course the QRSAM. The QRSAM around 500- 600 HMVs. We should be getting this here LRSAM. If you have seen, we have emerged L1 for the ground support system. So three types of HMVs we have and to be required. And once the proto is established, there is a sure sort order of around 900 HMVs. So that is the kind of pipeline we are looking at. Also, we have been, we are one of the three

shortlisted bidders for the AMCA project. As you all know, we have partnered Bharat Forge and Data Patterns and we have to bid for it. Maybe another two, three months it will be decided what they'll want. And it's the ticket size is 15,000 crores, the five proto we have to build and give. And the facility of ADA will be used and the testing facility is being created at Purnaparthi. So where the extensive testing will take place. So no CAPEX is involved there. It's only OPEX on our part. So that is a favor of the entire thing. In the meantime, I would like to have a look at the export slide. So in the export slide, it was a very

, very long aspiration that we should have at least

one order the rolling stock which we have got. Now we are targeting two more rolling stock metro opportunities, one in Tel Aviv and the other is in Dublin. And we have a very potent combination with Delhi Metro. In fact, Delhi Metro has a fully owned subsidiary of International Business that is DMIL. So we have entered into an agreement with them. They will do the operation and maintenance and we do the rolling stock supply.

Apart from that, there are several MMME opportunities in the pipeline for us. So in totality, we will look at adding the numbers in the order book, the numbers at which we ended last year. We ended at 15,900 order book, so the same number we would like to add in the current year as well. And if you are able to execute maybe some 6000 crore then we end up the year at around 24000 crore. Why this is important is that for us to have an executable order pipeline year on year. Then only we will be able to open the year with executable orderbook of say 7000-8000 crore then we can aspire to at least achieve that much revenue from day one and we can do it equitably across all the quarters. That is the idea. So year on year if you are able to add 10,000, 12,000 cores in the order book, it will keep on adding. And as a thumb rule, whatever is the order book size, one third of it generally is executable. So following that thumb rule, important thing is to book the orders also, execute also, develop the capability and the capacity. So we are doing in all front.

Analyst:

How are going to execute? Last time we discussed our current capacity for rolling coaches was around 250 so...

Shantanu :

So with Aditya being commissioned, I would say, if it is high speed train only, so we can do 6 to 8 coaches per month for high speed. If it is metro, we can do more. We can do probably 12 coaches per month. So it adds to our capacity by at least 100. 100 for metro if it is high speed it will be around 50 to 70 per year. Now coming to other facility that is the BRAHMA the investment that we have envisaged there once the plant is fully operational there the capacity will be further 300 - 350 coaches per annum, but that is going to take time. Another two and a half years, three years it may take. And for example, the MRVC project, it will take another six months for it to be finalized. That is a very optimistic timeline I'm giving. After that, it has a time cycle of around two and a half years to three years for the proto, and then the bulk production. So we will have ample time.

By that time the Bhopal facility will be in place. In the meantime, if we are able to get some more metro orders also. So first it will start to take care of metro for the western part of the country, northern part of the country. For example, two tenders project for DMRC, one tender for Mumbai. So we will shift to Bhopal because that is the time which will be required for the project to start. And we can keep on doing the LHB, if not the LHB, then uh the track machines at Bangalore. Any further Vande Bharat sleeper order, maybe two, three more trains can come. Amrit Bharat version four, MEMU. MEMU is something which is very much required in the country. So we'll try to get some Memo orders. So all these will keep the order of pipeline also healthy and also ensure that capacity is utilized. Plus the high speed train, if these two trains, two proto plus 16 more which is in the pipeline, plus the seven corridors which have been announced. So seven corridors, it will all be 350 Kmph aluminum. So we have already started preparing for aluminum almost for a year we are preparing for it. And that will give us a potential. That is a huge potential for us. That is how, you know, we are quite a beat on the transportation business, the diversification from aerospace. In the heavy earth moving machinery, the major strategy is to go for more and more exports

and to diversify into surface minor and new product development.

For example, the EV trucks, they will open a big market for us in the exports, the dump trucks.

And foreign to new products like the tunnel boring machine and the ship to shore cranes.

That is how the outlook is. That is how the study and the vision is.

Analyst:

Sir is the revenue mix will undergo change this year because the order mix has changed?

Shantanu :

revenue mix has already undergone a change last year. If you see, mining has come down to 40-41%. Defence and Rail and Metro have contributed around to 59%. So my guess is this year,

defence and Rail and Metro should again be in that range, 57-58%. So I guess in M&C this year, is expected to do phenomenally well as compared to last year. But that is again cyclical. So if we look at the medium to long term perspective, rail metro and defense put together, would say rail metro should account for very shortly 40%, 45%. Once we start running all cylinders. And rail metro and defense put together should do somewhere around 65 to 70%. It should contribute. Mining, obviously, it will provide us a baseline maybe 30- 35%. Mining is, I mean, they're very discretionary. All three are very discretionary. Mining is a fast turnaround product and gives us quick cash. Whereas defense, it's a long gestation period. Time cycles are very long from the Design in the stage to finally clearance from the FOPM. It takes three to four years minimum. But that way faster is R&M. But there again there is a gestation period of the proto. Proto is usually takes two years to two and a half years. So there has to be continuous order book of rail and metro and defense to give us the numbers, the big numbers and for the baseline mining construction with focus on exports.

Analyst:

Sir, when will the mining orders start coming?

Shantanu :

No, no, mining this year fortunately we have already a visibility. Pipeline also is there, visibility is also there. . It should pick up from the second quarter itself rather than going to the last quarter. But that cannot be guaranteed every year. So we have to focus more and more on exports. So this year itself we have to book more orders for mining for next year. Or next to next year.

Analyst:

Sir what is the orderbook now

Shantanu :

Order book is 16700 crores currently.

Analyst:

Can you give some colour on the provisions? That we made in last 2 quarters? Are they going to recur in future?

Shantanu :

No, the three major points that I have explained that I have communicated, they are one time. Apart from that, you know, there may be some provisions being created for regular accruals on account of the gratuity. regular provision will always be there. will not be one time. It will be recurring. Not which comes to my mind, at this moment we will need to see but it should not have that big impact. We need to see the provision which has been created. Not in the current projects that we are doing for metro or for rail. Even the current defense projects are all going on one time. We will work it out.

Analyst:

As company has projected on of 5000 crore revenue in now marine cranes and ship to building crane, so at what time it will contribute to your topline?

Shantanu :

As I mentioned, we are at a very nascent stage of the product development. It will be at least 5 years before a tunnel boring machine and STS crane, it starts giving revenue. Because that is the development period.

Analyst:

Once the capacity is ramped up, will it contribute 5,000 crores per annum.

Shantanu :

It should, because the tunnel boring machine requirement is huge. We are currently going only with a 6.5 meter. And later on, we will gradually move towards a 13 meter, 15 meter dia . There is a challenge in the country for machining of any tunnel boring machine beyond 12 meter. That is number one. Thesha ship to shore crane, manufactures in the country. So once it stabilizes,

the

port operators, we are banking on the marine vision as per the marine vision of India, 12 mega ports and 200 minor ports. So every one of these ports will require a ship to shore crane. And average, what we looking at is around 80 to 100 ship to shore cranes. And plus for big ship building, Goliath cranes ranging from 400 tons to 1,200 tons also. Goliath Crane will come in the next phase but first phase will be ship to shore.

Analyst:

We understand that this year we had some because of couple of one-off we had margin impacted but going forward what kind of sustainable margins we can expect given that our mix is also being changed and how sensitive is your margin because of raw material prices?

Shantanu :

So I will take your second question first. So RM prices, we will feel the pinch maybe in some time because the effects of this conflict yet to sync in totally. That is definitely going to impact us. Only thing is that since the contracts that we are doing especially for metro and the commuter rail also, there is a price variation clause so it will be taken care to some extent. That is number one.

Number two is If you look at the sustainable margins, in my opinion, anything around 16 % of EBITDA should be sustainable. We should be able to sustain. Because what happens is that we have a certain threshold number. Any sales revenue we do above that number, it results in exponential contribution to the bottom line.

Analyst:

What is that number sir?

Shantanu :

Break even now it's somewhere near Rs. 4000 crores. Based on considering all increase in price and other thing above that contribution will increase.

Anil Jerath:

So with this increase in turnover and contribution definitely it will have marked. So that's why what CMD said around 16 % EBITDA.

Analyst:

Despite of your saying margins will impact because of prominent prices. Can you give the break up in each of these segments?

Shantanu :

It is very difficult to give. Depends on the product mix. I'll give you a sense of that. Exports will be the best for us and we can only hope that the US dollar will grow further stronger. Number two is the sustenance. And don't ask me how much margin, okay? I cannot tell you. Then it is followed by the high-end heavy earth moving machinery and the commuter rail. So these three are the margin drivers.

Analyst:

Also can you please speak on the working capital as it has been impacted in last 2 quarters. What is the sustainable working capital that we can expect.

Shantanu :

We are looking at reduction in working capital by at least 20 % this year. That is what we are trying. And for that, inventory is one part. Second is the debtor and collection and followed by cash flow. And if we are able to deliver in every quarter, then definitely the cash flow will improve. Rather than skewing it up in the last two quarters.

Analyst:

How to start to bring.. (inaudible) because our revenue is skewed towards Q4 and same scenario may....

Shantanu :

So is what we are trying. With the order book, executable order book of a certain number at the beginning of the year, we stand a better chance to improve it. So maybe instead of only 15 -20 percent in the first half, if you're able to ramp it up to 30-35 percent in the first half.

Analyst:

Out of this 15000cr orderbook, you mentioned that 65% is from R&M. So last year we executed around 1000cr. So how are we looking at execution this year?

Shantanu :

So this year we are expecting an execution from Rail Metro of at least 2000 crores and as I said if you look at order in flow of around 15,000 crore in 26-27 Rail and Metro should be around 70 % of that so it should be roughly again 10,000 crore.

Analyst:

So you are saying that we will end up with around 18,000 crore stand up closing order book from Railway this year?

Shantanu :

Yes.

Analyst:

And the major orders would be from the metro itself or railways, would you approach it?

Sha

ntanu :

I would say both.

Analyst:

And for defense, I think we are not seeing that kind of momentum this year.

Shantanu :

No, defense we are definitely, as I mentioned, mean, some orders are sure shot, like the QRSAM, the self-propelled mine barrier. Then we have this ARV armoured artillery vehicle overhauling I, of them. These are short orders for us.

Analyst:

So roughly we are having roughly 3,000 crore of orderbook from the defence? And how much execution are we expecting in that segment?

Shantanu :

We are expecting somewhere between 1500 -2000 crore execution.

Analyst:

In railway we are sure that we will be making margins. Is there any clause to pass on any commodity price? Because these orders were taken two years back and we have these orders. And then we have seen the commodity in a down. So...

Shantanu :

Basically you see whatever orders we have currently, whether it's a LHB or whether it's a high speed, whether it's the Vande Bharat sleeper, ordering is already done. Those kinds of commodity pressure will not be there. The pressure will be on the future orders that we get either for Metro or for Rail. So there the pressure will be there. But at the same time, these days all Metro projects have the PVC clause. So it will mitigate to a certain extent. Earlier order you know Bangalore starting only with the Mumbai one which was a very old order that doesn't have a PVC every other project has a PVC.

Analyst:

So out of the 9-10 thousand crore metro backlog, how much will be Mumbai?

Shantanu :

Mumbai is 2000.

Analyst:

And the execution will also be done this year?

Shantanu :

No, it will start this year, provided Mandali Depot is ready.

Analyst:

And next year, orders, you mentioned, 10,000 to 12,000 crores from the railway, this will be largely from which side?

Shantanu :

Currently we have 6 tenders and the value is roughly around 8000 crores. The commuter rail tenders that are expected this year should be somewhere around 35-40 thousand crore. 60-40 if it is given so our share will be accordingly divided since the propulsion supplier is the lead bidder so if we consider 10,000 crore, so 10,000 should have 70 % coming from commuter rail and 30 % from the metro.

Analyst:

In terms of exports, Africa, historically we have seen that country is exposed to payment delays, execution challenges, political challenges. How do you see that? Do you see any risk related to that?

Shantanu :

There is always a risk in international market, in international business. Whether it is Africa, whether it is Far East, whether it is CIS, Middle East, everywhere it's a risk. You see, before February of this year, who would have never thought that the GCC region will be exposed to so much risk? No one could have imagined, right? We had just executed a contract in Oman, and I was expecting a repeat order from Oman, but that is on hold now, right? So risk is always there more in the international business as compared to the domestic.

Analyst:

Who are the key clients in exports?

Shantanu :

Key clients for my export market are, you know, one metro corporation in Africa. I won't name them. Then there is the government in one country in the West Asia from where we have got the major order.

As far as CIS is concerned, there is a big industrial house, mining house in Goldmines who have already taken 10 bulldozers from us. They have been recently commissioned. Apart from that, there is another big corporation in the CIS region who have already purchased our bulldozers. For the goldmine, we expect that we'll have more orders. Then in the North Africa region, there is a government entity with whom they have been doing business for the last 30, 40 odd years. And we have supplied a lot of Mining equipment. There is already a tender. The total value of the tender is around 110 million euros, out of which the equipment that we are looking for is in the range

of 20, 25 million euros. So in a nutshell, This is what we are looking at.

Analyst:

What extent is funded by multilateral agencies?

Shantanu :

None of these projects are funded. Only one project is funded by the multilateral agency. That is North Africa. North Africa project is funded by multilateral agency. Otherwise, every other project is being funded from their own resources.

Analyst:

Sustainable number for R & D spend is % of sales and also FY expenses.

Shantanu :

Sustainable number for R & D spend should be around 7%, we already reached 6.25 % of the revenue in last year. Even if the revenue goes up, we'll keep it at around 7%. We have already

some 40 odd products lined up in coming year.

Employee expense, you know, has gone down as a percentage of revenue this year, slightly. But we have to, you know, the catch is to maintain the absolute number in the expenditure or maybe it can marginally go up but the top line has to go up substantially. Then the employee cost as a percentage of revenue should come down to around 17% which is again not an easy task. It's not an easy task considering that now the floor wages and other things which have come up so definitely it will be a challenge.

The new labor codes that has come into picture, that will have little bit changes in the payout for the outpost employees. That will be one of the concerns. But same thing, but we are mindful of hiring people, we are trying to minimize the number of laborers engaged and trying to prune down wherever it is not required. So these are the exercises on. We try to improve our top line. So the top line, it goes up automatically, it should come down to 17.

Analyst:

How much is the difference in exports and domestic in terms of EBITDA? In terms of revenue, what will be the mix of exports in the next 2 years in the revenue?

Shantanu :

To be honest, we have not done a specific analysis. But again, you know, it all depends. Suppose we plan for a EBITDA of around 20 % for exports, but if the dollar further goes up, it will go up to 25 % also. At the time of bidding, generally we have an EBITDA in higher double digits.

Analyst:

As compared to domestic markets, if the bidding at 15%, how will that difference be?

Shantanu :

You see, it all depends on the strategy, on the competition. It all depends on the competition. But in exports, we definitely ensure that adequate margins are there. I cannot give a number because it's a part of the strategy. So finally, what result comes out, that is important for us. Cost is reality pricing is strategy.

Analyst:

In these three segments, where do we see actual improvement in terms of working capital and receivables is coming down? what in these three segments, where are we actually seeing improvement?

Shantanu :

Receivables will come down drastically to start with in the M&C segment because generally IN is the last quarter is from the M&C side of now. So that is the first correction that will happen. Second is the rail, commuter rail and metro, Suppose we do a sale in the month of June, I dispatch a train for example. So generally the cycle is around two months, right? So if I am able to do majority of the work in the first three quarters, my chances of getting the cash by the end of the last quarter are much, much higher. Third in defense, some times things are beyond our control. Last time even though we had supplied and our bills were also submitted. Normally in defence we don't face this kind of problem. the last two months there is a huge monitoring on defence expenditure and everything is cleared. But this time because of certain reasons it could not happen. Maybe because we had done more than what we had projected earlier. That may have been one of the reasons. Sometimes it is not good to do more also. So we realized that so now the projection that we give is a bit on the higher side, better to give on the higher side so that

then we improve upon our performance. Like we improved by almost 40 % in the last year. So there are no challenges as far as the fund availability is concerned. But anyhow, whatever we could not get by end of March, we have already got in the first two months.

Analyst:

Is it fair to say that from the current order book of say Rs. 2000 crores, only 2000 crores of Mumbai Metro is a fixed cost order book. Rest of the entire order book can have the price variation clause?

Shantanu :

No, no. I didn't say. I only said that amongst the Metro orders currently, only Mumbai has a fixed cost. It's a fixed cost contract. The other two Metro projects have a PVC.

Analyst:

Out of the total orderbook, how much time is fixed order book? How much is PVC?

Shantanu : You see it is important when we got a project. If it's a product like mining, it's not important because the turnaround time is very fast. So, there cannot be any PVC in that. So every mining project is a fixed cost contract. And the sustenance part which is a 9 year or 12 year there again there is a escalation clause and every year basically what happens is Coal India and we sit together and we decide on the escalation clause in the spare parts prices right for the cost cap contracts for the maintenance contracts and also the escalation clause in built so only the sustenance is part there is a escalation clause but not in the product part.